

CITY OF WESTMORELAND, TENNESSEE

Annual Financial Report

For the Year Ended June 30, 2025

CITY OF WESTMORELAND, TENNESSEE

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CITY OF WESTMORELAND, TENNESSEE

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INTRODUCTORY SECTION

CITY OF WESTMORELAND, TENNESSEE

Officials of the City of Westmoreland, Tennessee

June 30, 2025

Name

Title

Elected Officials:

David Leath

Mayor

Adam Borders

Council member

Doug Brown

Council member

Obern Staples

Council member

Cameron Calvert

Council member

Alex Jones

Council member

Management:

Meredith Kendall-Jenkins

City Recorder, CMFO Candidate

FINANCIAL SECTION

JOHN R. POOLE, CPA
CERTIFIED PUBLIC ACCOUNTANT

134 NORTHLAKE DRIVE
HENDERSONVILLE, TN 37075

(615) 822-4177

Independent Auditor's Report

Mayor and the City Council of the
City of Westmoreland, Tennessee
Westmoreland, Tennessee

Report on the Audit of the Financial Statements

Opinions

I have audited the accompanying financial statements of the governmental activities, the business-type activities, the aggregate discretely presented component units, and each major fund of the City of Westmoreland, Tennessee (the "City"), as of and for the year ended June 30, 2025, and the related notes to the financial statements, which collectively comprise the City's basic financial statements as listed in the table of contents.

In my opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, the aggregate discretely presented component units, and each major fund of the City, as of June 30, 2025, and the respective changes in financial position and the respective budgetary comparison for the General Fund, State Street Aid Fund, Solid Waste Fund, and the Drug Fund for the year then ended and where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinions

I conducted my audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in the Government Auditing Standards, issued by the Comptroller General of the United States. My responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of my report. I am required to be independent of the City and to meet my other ethical responsibilities, in accordance with the relevant ethical requirements relating to my audit. I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my audit opinions.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the City's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditor's Responsibilities for the Audit of the Financial Statements

My objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes my opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with generally accepted auditing standards and Government Auditing Standards will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgement made by a reasonable user based on the financial statements.

In performing an audit in accordance with generally accepted auditing standards and Government Auditing Standards, I:

- ❖ Exercise professional judgment and maintain professional skepticism throughout the audit.
- ❖ Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- ❖ Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the City's internal control. Accordingly, no such opinion is expressed.
- ❖ Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- ❖ Conclude whether, in my judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the City's ability to continue as a going concern for a reasonable period of time.

I am required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that I identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the Required Supplementary Information, which includes Management's Discussion and Analysis, the Schedule of Changes in Net Pension Liability (Asset) - Legacy, the Schedule of Contributions to the Employee Pension Plan - Legacy, the Schedule of Changes in Net Pension Liability (Asset) - Hybrid, the Schedule of Contributions to the Employee Pension Plan - Hybrid, and the Schedule of Changes in Total Liability and Related Ratios, be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. I have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to my inquiries, the basic financial statements, and other knowledge I obtained during my audit of the basic financial statements. I do not express an opinion or provide any assurance on the information because the limited procedures do not provide me with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

My audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the City's basic financial statements. The Schedule of Expenditures of Federal Awards, as required by Title 2 U.S. Code of Federal Regulations Part 200, Uniform Administration Requirements, Cost Principles, and Audit Requirements for Federal Awards, and the other supplementary information are presented for purposes of additional analysis and are not a required part of the basic financial statements. The supplementary information section, as listed in the table of contents, is presented for purposes of additional analysis and is not a required part of the basic financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In my opinion, the supplementary information is fairly stated in all material respects in relation to the basic financial statements as a whole.

Other Information – Introductory Section

Management is responsible for the Introductory Section included in the annual report. The Introductory Section, as listed in the table of contents, does not include the basic financial statements and my auditor's report thereon. My opinion on the basic financial statements does not cover the Introductory Section, and I do not express an opinion or any other assurance thereon.

In connection with my audit of the basic financial statements, my responsibility is to read the Introductory Section and consider whether a material inconsistency exists between the Introductory Section and basic financial statements, or the Introductory Section otherwise appears to be materially misstated. If, based on the work performed, I conclude that an uncorrected material misstatement of the Introductory Section exists, I am required to describe it in my report.

Other Reporting Required by Government Auditing Standards

In accordance with Government Auditing Standards, I have also issued my report dated December 20, 2025, on my consideration of the City's internal control over financial reporting and on my tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements and other matters. The purpose of that report is solely to describe the scope of my testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the City's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with Government Auditing Standards in considering the City's internal control over financial reporting and compliance.

John R Poole, CPA

December 20, 2025

MANAGEMENT'S
DISCUSSION AND
ANALYSIS

CITY OF WESTMORELAND, TENNESSEE

Management's Discussion and Analysis

As management of the City of Westmoreland, Tennessee (the City) we offer readers of the City's financial statements this narrative overview and analysis of the financial activities of the City for the fiscal year ended June 30, 2025. The analysis focuses on significant financial position, budget changes and variances from the budget, and specific issues related to funds and the economic factors affecting the City. Management's Discussion and Analysis (MD&A) focuses on current year activities and resulting changes.

Financial Highlights:

The assets of the City of Westmoreland exceeded its liabilities at the close of the most recent fiscal year by \$14,061,894. Of this amount, \$2,932,334 (unrestricted net position) may be used to meet the government's ongoing obligations to citizens and creditors. The government's total net position increased by \$1,359,596 as the local economy continues to grow with revenues \$1,550,383 higher than the prior year. Expenses were \$358,665 higher in the current year primarily due to increased expenditures in the Police and Water and Sewer departments.

As of the close of the current fiscal year, the City's governmental funds reported combined ending fund balances of \$1,237,612, an increase of \$95,880 in comparison to the prior year. The increase in fund balance relates to increased revenues from capital grants partially offset by an increase in expenses from capital asset purchases and depreciation expenses during the year. At the end of the current fiscal year, unassigned fund balance of the General Fund was \$624,138 or 23% of the total general fund expenditures.

The City's business-like activities total net position increased by \$1,050,331, due to increased user service charges and capital contributions partially offset by increased supply and maintenance costs during the current year.

The City's total debt increased \$120,415 during the current fiscal year as the City borrowed to make improvements for infrastructure (sewer). All debts are being paid as scheduled.

Overview of the Financial Statements:

This discussion and analysis is intended to serve as an introduction to the City of Westmoreland's basic financial statements. The City's basic financial statements comprise three components: (1) government-wide financial statements, (2) fund financial statements, and (3) notes to the financial statements. This report also contains other supplementary information in addition to the basic financial statements.

Government-wide financial statements. The government-wide financial statements are designed to provide readers with a broad overview of the City's finances, in a manner similar to a private-sector business.

The Statement of Net Position presents information on all the City's assets and liabilities, with the difference between the two reported as net position. Over time, increases or decreases in net position may serve as a useful indicator of whether the financial position of the City is improving or deteriorating. The Statement of Activities presents information showing how the government's net position changed during the most recent fiscal year. All changes in net position are reported as soon as the underlying event giving rise to the change occurs, regardless of the timing of related cash flows. Thus, revenues and expenses are reported in this statement for some items that will only result in cash flows in future fiscal periods (e.g., uncollected tax).

The Statement of Cash Flows presents the flow of cash inflows/outflows for all enterprise funds during the fiscal year.

Both of the government-wide financial statements distinguish functions of the City that are principally supported by taxes and intergovernmental revenues (governmental activities) from other functions that are intended to recover all or a significant portion of their costs through user fees and charges (business-type activities). The governmental activities of the City of Westmoreland include general government, personnel, finance, parks, planning, police, fire, disposal service, streets and public works. The government-wide financial statements can be found on pages 11-12 of this report.

Fund financial statements. A Fund is a grouping of related accounts that is used to maintain control over resources that have been segregated from specific activities or objectives. The City of Westmoreland, like other state and local governments, uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements. All of the funds of the City are governmental funds.

Governmental Funds. Governmental Funds are funds used to account for essentially the same functions reported as governmental activities in the government-wide financial statements. However, unlike the government-wide financial statements, governmental fund financial statements focus on near-term inflows and outflows of resources, as well as on balances of resources available at the end of the fiscal year. Such information may be useful in evaluating a government's near-term financing requirements.

Because the focus of governmental funds is narrower than that of the government-wide financial statements, it is useful to compare the information presented for governmental funds with similar information presented for governmental activities in the government-wide financial statements. By doing so, readers may better understand the long-term impact of the government's near-term financing decisions. Both the governmental fund balance sheet and governmental fund statement of revenues, expenditures, and changes in fund balances provide a reconciliation to facilitate this comparison between governmental funds and governmental activities.

The City maintains several individual governmental funds. Information is presented separately in the governmental fund balance sheet and in the governmental fund statement of revenues, expenditures, and changes in fund balances for the funds all of which are considered to be major funds. The City of Westmoreland adopts an annual appropriated budget for its general fund. A budgetary comparison statement has been provided for the general fund to demonstrate compliance with this budget. The basic financial statements can be found on pages 14-20 of this report.

Notes to the financial statements. The notes provide additional information that is essential to a full understanding of the data provided in the government-wide and fund financial statements. The notes to the financial statements can be found on pages 29-57 of this report.

Financial Analysis of the Financial Statements--Government-wide Financial Analysis

As noted earlier, net position may serve over time as a useful indicator of a government's financial position. In the case of the City of Westmoreland, assets exceeded liabilities by \$14,061,894 at the close of the most recent fiscal year.

By far the largest portion of the City's assets reflects its investment in capital assets (e.g., land, buildings, machinery, equipment, and infrastructure) less any related debt to acquire those assets that is still outstanding. The City uses these capital assets to provide services to citizens; consequently, these assets are not available for future spending. Although the City's investment in its capital assets is reported net of related debt, it should be noted that the resources needed to repay this debt must be provided from other sources, since the capital assets themselves cannot be used to liquidate these liabilities.

Financial Analysis of the Financial Statements--City of Westmoreland's Net position - 2024

	Governmental <u>Activities</u>	Business -Type <u>Activities</u>
Current and other assets	\$ 2,013,812	1,549,869
Capital assets	<u>2,993,467</u>	<u>16,195,844</u>
Total assets	5,007,279	17,745,713
Deferred outflows	290,338	177,950
Long-term liabilities outstanding	336,554	7,908,245
Other liabilities	<u>232,118</u>	<u>1,208,024</u>
Total liabilities	568,672	9,116,269
Deferred inflows	780,627	53,414
Net position:		
Net investment in capital assets	2,656,913	8,287,599
Restricted	144,619	95,072
Unrestricted	<u>1,146,786</u>	<u>371,309</u>
Total net position	\$ 3,948,318	8,753,980

Financial Analysis of the Financial Statements--City of Westmoreland's Net position - 2025

	Governmental Activities	Business -Type Activities
Current and other assets	\$ 2,154,672	2,363,882
Capital assets	<u>3,173,106</u>	<u>15,781,273</u>
Total assets	5,327,778	18,145,155
Deferred outflows	259,747	211,037
Long-term liabilities outstanding	262,701	8,097,812
Other liabilities	<u>229,900</u>	<u>375,436</u>
Total liabilities	492,601	8,473,248
Deferred inflows	837,341	78,633
Net position:		
Net investment in capital assets	2,910,405	7,683,461
Restricted	146,001	389,693
Unrestricted	<u>1,201,177</u>	<u>1,731,157</u>
Total net position	\$ 4,257,583	9,804,311

At the end to the current fiscal year, the City is able to report positive balances in all categories of net position, both for the government as a whole, as well as for its separate governmental and business-type activities. The same situation held true for the prior year.

Financial Analysis of the Financial Statements

As noted earlier, the City uses fund accounting to ensure and demonstrate compliance with finance related legal requirements.

Governmental Funds

The focus of the City of Westmoreland's governmental funds is to provide information on near-term inflows, outflows and balances of resources. Such information is useful in assessing the City's financing requirements in particular, unassigned fund balance may serve as a useful measure to a government's net resources available for spending at the end of the fiscal year.

The general fund is the chief operating fund of the City's. At the end of the current fiscal year, unassigned fund balance of the general fund was \$624,138. As a measure of the general fund's liquidity, it may be useful to compare both unassigned fund balance and total fund balance to total fund expenditures. Unassigned fund balance represents 23% of total general fund expenditures.

Comparison of revenues and expenses 2024 and 2025

	2024 Governmental Activities	2025 Governmental Activities	Change Between Years	2024 Business- type Activities	2025 Business- type Activities	Change Between Years
Revenues:						
Program revenues:						
Charges for services	414,180	507,830	93,650	2,967,018	3,569,861	602,843
Operating grants and contributions	166,176	198,533	32,357	0	0	0
Capital grants and contributions	0	362,639	362,639	77,504	575,664	498,160
General revenues:						
Property taxes	579,597	758,005	178,408	0	0	0
Sales taxes	1,143,941	1,098,864	(45,077)	0	0	0
Other local taxes	229,322	208,935	(20,387)	0	0	0
Other state shared taxes	34,597	34,291	(306)	0	0	0
Other	173,441	13,412	(160,029)	7,000	15,125	8,125
Total revenues	2,741,254	3,182,509	441,255	3,051,522	4,160,650	1,109,128
Expenses:						
General government	\$542,923	\$563,362	20,439	0	0	0
Police department	1,332,147	1,463,636	131,489	0	0	0
Fire department	162,459	195,061	32,602	0	0	0
Highways and streets	244,348	252,785	8,437	0	0	0
Parks and recreations	66,197	93,586	27,389	0	0	0
State street aid	123,261	106,491	(16,770)	0	0	0
Solid waste	234,800	198,323	(36,477)	0	0	0
Water and Sewer	0	0	0	2,918,763	3,110,319	191,556
Total expenses	2,706,135	2,873,244	167,109	2,918,763	3,110,319	191,556
Change in net position	35,119	309,265	274,146	132,759	1,050,331	917,572

Governmental Budgetary Highlights

The City maintained its expenditure budgets during the current year. See pages 21-27 for further information.

Capital Assets

The City of Westmoreland's investment in capital assets from its governmental activities at June 30, 2025, amounts to \$3,173,106 (net of accumulated depreciation) and its business-type activities amounts to \$15,781,273. This investment in capital assets is in land, buildings, improvements, machinery and equipment.

Major capital asset events during the current fiscal year included the following:

- Infrastructure improvements to Water and Sewer systems
- Equipment purchases for the fire department

City of Westmoreland's Capital Assets - 2024

	Governmental Activities	Business-Type Activities
Land, improvements and building	\$3,524,250	95,201
Equipment	<u>2,380,110</u>	<u>24,224,128</u>
Less accumulated depreciation	(2,910,893)	(8,123,485)
Net Capital Assets	<u>\$2,993,467</u>	<u>\$16,195,844</u>

City of Westmoreland's Capital Assets - 2025

	Governmental Activities	Business-Type Activities
Land, improvements and building	\$ 3,524,250	95,201
Equipment	<u>2,779,634</u>	<u>24,384,345</u>
Less accumulated depreciation	(3,130,778)	(8,698,273)
Net Capital Assets	<u>\$ 3,173,106</u>	<u>\$ 15,781,273</u>

Additional information on the City of Westmoreland's capital assets can be found in the notes to the financial statements section of this report.

Long-Term Debt

The City has \$262,701 in general obligation debt and \$8,097,812 in utility related debt. During the year the City borrowed \$567,139 in Utility debt for infrastructure improvements in the Sewer department. During the year the governmental funds paid \$73,853 to reduce general obligation debt and the Utility fund paid \$372,871. Additionally, \$141,785 of utility debt was forgiven as part of a grant/loan program. All loans are being paid as scheduled

Economic Factors and Next Year's Budget and Rates

In the 2025-2026 budget, General fund revenues and user fees are budgeted to increase from the 2024-2025 budget year primarily due to increased usage and an increase in the sales tax revenues. The City's budget has benefited by an expanding commercial and retail base producing increased local sales tax receipts.

All of these factors were considered in preparing the City's budget for the 2025-2026 fiscal year.

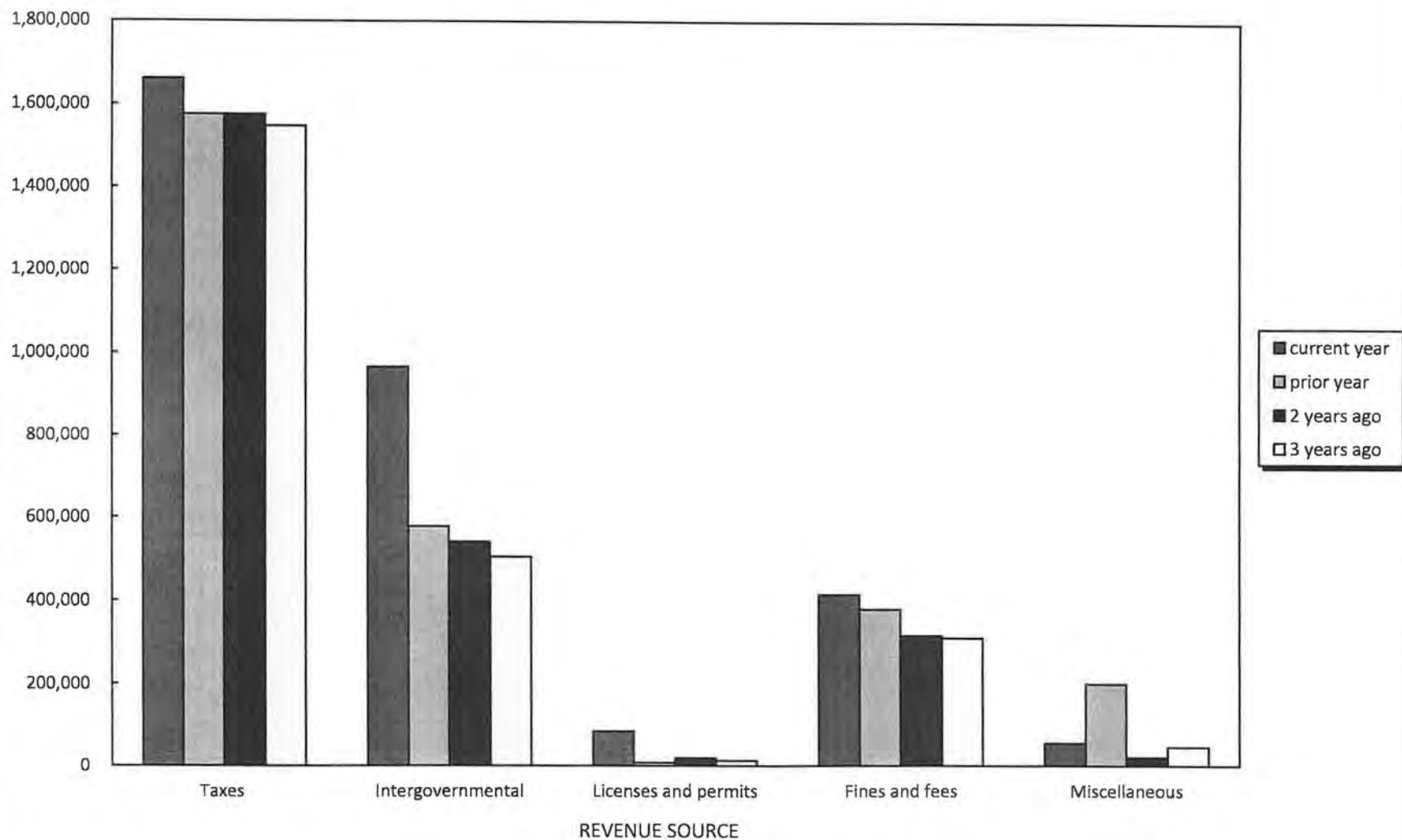
Requests for Information

This financial report is designed to provide a general overview of the City of Westmoreland, Tennessee's finances for all those with an interest in the government's finances. Questions concerning any of the information provided in this report or requests for additional financial information should be addressed to:

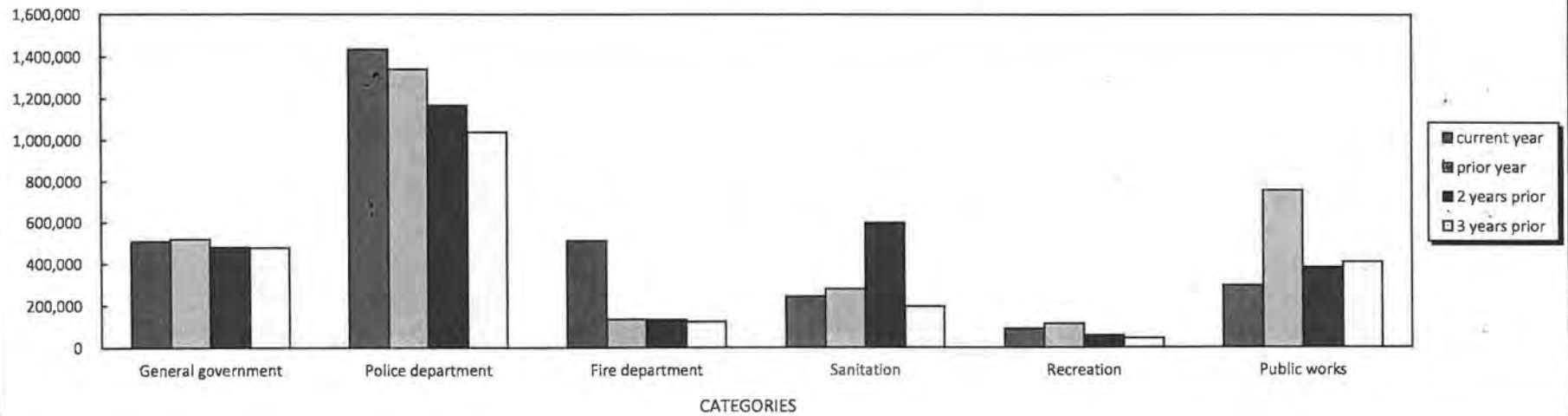
Meredith Kendall-Jenkins
City of Westmoreland

CITY OF WESTMORELAND, TENNESSEE

GOVERNMENTAL FUND REVENUES



CITY OF WESTMORELAND, TENNESSEE
GOVERNMENTAL FUND EXPENDITURES



BASIC FINANCIAL STATEMENTS

CITY OF WESTMORELAND, TENNESSEE

Statement of Net Position

June 30, 2025

	Governmental Activities	Business Activities	Total	Component Unit Industrial Development
<u>Assets</u>				
Cash and cash equivalents	1,187,523	1,797,479	2,985,002	121,075
Certificate of deposit	26,058	144,098	170,156	0
Receivables	1,019,340	251,490	1,270,830	0
Prepaid assets	49,705	11,158	60,863	0
Internal balances	(146,025)	146,025	0	0
Net pension asset - Hybrid	18,071	13,632	31,703	0
Capital assets not being depreciated	152,806	26,246	179,052	0
Capital assets, net of accumulated depreciation	3,020,300	15,755,027	18,775,327	631,242
Total Assets	5,327,778	18,145,155	23,472,933	752,317
<u>Deferred outflows:</u>				
Deferred outflows of resources - OPEB	18,387	13,871	32,258	0
Deferred outflows of resources - pension - Hybrid	9,029	21,898	30,927	0
Deferred outflows of resources - pension - Legacy	232,331	175,268	407,599	0
Total Deferred Outflows	\$259,747	\$211,037	\$470,784	0
<u>Liabilities, Deferred Inflows, and Net Position</u>				
<u>Liabilities</u>				
Accounts payable	74,105	128,710	202,815	0
Accrued expenses	0	12,947	12,947	0
Unearned revenue - ARPA grants	0	0	0	0
Customer deposits	0	116,250	116,250	0
Total OPEB liability	21,762	16,417	38,179	0
Net pension liability - Legacy	134,033	101,112	235,145	0
Long-term liabilities:				
Due within one year	61,226	338,810	400,036	0
Due in more than one year	201,475	7,759,002	7,960,477	0
Total Liabilities	492,601	8,473,248	8,965,849	0
<u>Deferred inflows:</u>				
Deferred inflows of resources - current year property taxes	733,000	0	733,000	0
Deferred inflows of resources - OPEB	32,996	24,812	57,808	0
Deferred inflows of resources - pension - Hybrid	30,743	23,191	53,934	0
Deferred inflows of resources - pension - Legacy	40,602	30,630	71,232	0
Total Deferred Inflows	\$837,341	\$78,633	\$915,974	0
<u>Net position:</u>				
Net investment in Capital Assets	2,910,405	7,683,461	10,593,866	631,242
Restricted - Debt Service	0	389,693	389,693	0
Restricted - State Street Aid	45,251	0	45,251	0
Restricted - Drug Fund	26,491	0	26,491	0
Restricted - Solid Waste Fund	74,259	0	74,259	0
Unrestricted	1,201,177	1,731,157	2,932,334	121,075
Total Net Position	4,257,383	9,804,311	14,061,694	752,317

See accompanying notes to financial statements

CITY OF WESTMORELAND, TENNESSEE

Statement of Activities

For the Year Ended June 30, 2025

Function/Programs	Program Revenues			Capital Grants and Contributions	Net (Expenses) Revenue and Changes in Net Position		Total	Component Unit Industrial Development
	Expenses	Charges for Services	Operating Grants and Contributions		Governmental Activities	Business-Type Activities		
Government Activities:								
General government	563,362	84,164	33,254	362,639	(83,305)	0	(83,305)	0
Police	1,463,636	183,956	0	0	(1,279,680)	0	(1,279,680)	0
Fire	195,061	9,010	61,556	0	(124,495)	0	(124,495)	0
Highways and streets	252,785	0	0	0	(252,785)	0	(252,785)	0
Parks and recreations	93,586	0	0	0	(93,586)	0	(93,586)	0
Solid waste	198,323	230,700	0	0	32,377	0	32,377	0
State street aid	106,491	0	103,723	0	(2,768)	0	(2,768)	0
Total Governmental Activities	2,873,244	507,830	198,533	362,639	(1,804,242)	0	(1,804,242)	0
Business - type Activities:								
Water and Sewer	3,110,319	3,569,861	0	575,664	0	1,035,206	0	0
Total Business Type Activities	3,110,319	3,569,861	0	575,664	0	1,035,206	0	0
Component Unit - Industrial Board	106,260	262,400	0	23,639	179,779	0	0	179,779
Total	5,983,563	4,077,691	198,533	938,303	(1,804,242)	1,035,206	(1,804,242)	0
General Revenues:								
Property taxes					723,855	0	723,855	0
Public utility taxes					34,150	0	34,150	0
Sales taxes					1,098,864	0	1,098,864	0
Beer taxes					147,987	0	147,987	0
Business taxes					46,986	0	46,986	0
Franchise taxes					13,962	0	13,962	0
State excise taxes					20,329	0	20,329	0
State telecommunications tax					7,820	0	7,820	0
State sports betting					6,142	0	6,142	0
Interest income					1,508	3,075	4,583	0
Other					11,904	12,050	23,954	0
Total general revenues					2,113,507	15,125	2,128,632	0
Changes in Net Position					309,265	1,050,331	1,359,596	179,779
Net Position - beginning of year					3,948,318	8,753,980	12,702,298	572,538
Net Position - ending of year					4,257,583	9,804,311	14,061,894	752,317

See accompanying notes to financial statements.

FUND FINANCIAL STATEMENTS

CITY OF WESTMORELAND, TENNESSEE

Balance Sheet

Governmental Funds

June 30, 2025

<u>Assets</u>	<u>General Fund</u>	<u>State Street Aid Fund</u>	<u>Solid Waste Fund</u>	<u>Drug Fund</u>	<u>Total Governmental Fund</u>
Cash and cash equivalents	\$1,094,835	\$22,150	\$44,047	\$26,491	\$1,187,523
Certificate of deposits	0	0	26,058	0	26,058
Taxes receivable	824,884	0	0	0	824,884
Receivable from other governments	159,530	16,287	18,639	0	194,456
Due from other funds	46,941	8,125	34,506	0	89,572
Prepaid insurance	44,209	0	5,496	0	49,705
Total Assets	<u>\$2,170,399</u>	<u>\$46,562</u>	<u>\$128,746</u>	<u>\$26,491</u>	<u>\$2,372,198</u>
<u>Liabilities, Deferred Inflows and Fund Balance</u>					
Liabilities:					
Accounts payable	\$65,248	\$1,311	\$7,546	\$0	\$74,105
Due to other funds	188,656	0	46,941	0	235,597
Total Liabilities	<u>253,904</u>	<u>1,311</u>	<u>54,487</u>	<u>0</u>	<u>309,702</u>
Deferred Inflows of Resources:					
Deferred inflows: current property taxes	733,000	0	0	0	733,000
Deferred inflows: delinquent property taxes	91,884	0	0	0	91,884
Total Deferred Inflow of Resources	<u>824,884</u>	<u>0</u>	<u>0</u>	<u>0</u>	<u>824,884</u>
Fund balance:					
Assigned - fire - Mayor	404,230	0	0	0	404,230
Assigned - police - Mayor	19,034	0	0	0	19,034
Non-spendable	44,209	0	0	0	44,209
Unassigned	624,138	0	0	0	624,138
Restricted	0	45,251	74,259	26,491	146,001
Total Fund Balance	<u>1,091,611</u>	<u>45,251</u>	<u>74,259</u>	<u>26,491</u>	<u>1,237,612</u>
Total Liabilities, Deferred Inflows and Fund Balance	<u>\$2,170,399</u>	<u>\$46,562</u>	<u>\$128,746</u>	<u>\$26,491</u>	<u>\$2,372,198</u>

The notes accompanying the financial statements are an integral part of these financial statements.

CITY OF WESTMORELAND, TENNESSEE

**Reconciliation of the Balance Sheet to the Statement of Net Position
of Governmental Activities**

June 30, 2025

Amounts reported for fund balance - total governmental funds	\$ 1,237,612
Amounts reported for governmental activities in the statement of net position are different because:	
Other long term assets are not available to pay for current-period expenditures and therefore are deferred in the governmental funds	91,884
Long-term obligation debt not recorded in the governmental funds	(262,701)
Pension related accounts - governmental funds to not record these post-benefit obligations - Legacy	
Net pension liability	(134,033)
Deferred outflow - pension	232,331
Deferred inflow - pension	(40,602)
Pension related accounts - governmental funds to not record these post-benefit obligations - Hybrid	
Net pension asset	18,071
Deferred outflow - pension	9,029
Deferred inflow - pension	(30,743)
OPEB related accounts - governmental funds to not record these post-benefit obligations	
Total OPEB Liability	(21,762)
Deferred outflow - OPEB	18,387
Deferred inflow - OPEB	(32,996)
Capital assets used in governmental activities are not financial resources and, therefore, are not reported in the governmental funds	<u>3,173,106</u>
Net Position of governmental activities	\$ <u><u>4,257,583</u></u>

See accompanying notes to financial statements.

CITY OF WESTMORELAND, TENNESSEE

**Governmental Funds
Statement of Revenues, Expenditures and Changes in Fund Balances
For the Year Ended June 30, 2025**

	General Fund	State Street Aid Fund	Solid Waste Fund	Drug Fund	Total Governmental Funds
Revenues:					
Taxes	1,661,605	0	0	0	1,661,605
Intergovernmental	867,819	98,589	0	0	966,408
Licenses and permits	84,164	0	0	0	84,164
Fines and fees	177,154	0	230,700	6,802	414,656
Miscellaneous	54,444	56	1,176	0	55,676
Total Revenues	<u>\$2,845,186</u>	<u>\$98,645</u>	<u>\$231,876</u>	<u>\$6,802</u>	<u>\$3,182,509</u>
Expenditures:					
Current:					
General government	479,513	0	0	0	479,513
Police department	1,420,301	0	0	0	1,420,301
Fire department	155,076	0	0	0	155,076
Highway and streets	161,906	0	0	0	161,906
Parks and recreation	89,640	0	0	0	89,640
Sanitation	0	0	186,356	0	186,356
State street aid	0	106,491	0	0	106,491
Capital outlay:					
Fire department	355,023	0	0	0	355,023
Police department	15,168	0	0	0	15,168
Highway and streets	29,333	0	0	0	29,333
Debt service:					
Principal	28,418	0	45,435	0	73,853
Interest	2,002	0	11,967	0	13,969
Total Expenditures	<u>\$2,736,380</u>	<u>\$106,491</u>	<u>\$243,758</u>	<u>\$0</u>	<u>\$3,086,629</u>
Excess (deficiency) of revenues over expenditures	<u>108,806</u>	<u>(7,846)</u>	<u>(11,882)</u>	<u>6,802</u>	<u>95,880</u>
Operating transfer:	<u>(14,308)</u>	<u>0</u>	<u>0</u>	<u>14,308</u>	<u>0</u>
Net change in fund balance:	<u>94,498</u>	<u>(7,846)</u>	<u>(11,882)</u>	<u>21,110</u>	<u>95,880</u>
Fund Balance, Beginning of year	997,113	53,097	86,141	5,381	1,141,732
Fund Balance, End of Year	<u>\$1,091,611</u>	<u>\$45,251</u>	<u>\$74,259</u>	<u>\$26,491</u>	<u>\$1,237,612</u>

See accompanying notes to financial statements.

CITY OF WESTMORELAND, TENNESSEE

**Reconciliation of the Statement of Revenues, Expenditures and Changes in Fund Balance
of Governmental Funds to the Statement of Activities**

For the Year Ended June 30, 2025

Net change in fund balances - total governmental funds:	\$ 95,880
Amounts reported for governmental activities in the statement of net position are different because:	
Governmental funds report capital outlays as expenditures. However, in the statement of activities the cost of those assets is allocated over their estimated useful lives and reported as depreciation expense.	
Acquisition of capital assets	399,524
Depreciation expense	(219,885)
Revenues in the statement of activities that do not provide current financial resources are not reported as revenues in the funds.	
	(2,638)
Expenses reported in the statement of activities that affect accrued liabilities that are not reported as expenditures in the governmental funds	
Change in pension plan accrual - Legacy	(35,356)
Change in pension plan accrual - Hybrid	(3,643)
Change in OPEB accounts	1,530
Expenses reported in the governmental funds that reduce long term debt are not reported as expenses in the statement of activities. Loan proceeds are reported as revenues in the governmental funds but increase long-term debt in the statement of activities.	
Principal debt payments	<u>73,853</u>
Change in Net Position of governmental activities	\$ <u>309,265</u>

See accompanying notes to financial statements.

CITY OF WESTMORELAND, TENNESSEE

Statement of Net Position

Enterprise (Water and Sewer) Fund

June 30, 2025

Assets

Current Assets:

Cash and cash equivalents	\$1,797,479
Certificate of deposit	144,098
Customer accounts receivable, net of allowance of \$95,779	251,490
Due from other funds	180,531
Prepaid expenses	11,158
Total Current Assets	<u>2,384,756</u>

Capital Assets:

Utility plant in service	24,479,546
Less accumulated depreciation	(8,698,273)
Total Capital Assets, Net	<u>15,781,273</u>

Net pension asset - Hybrid	<u>13,632</u>
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Total Assets	<u>\$18,179,661</u>
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Deferred outflows:

Deferred outflows of resources - OPEB	13,871
Deferred outflows of resources - pension - Hybrid	21,898
Deferred outflows of resources - pension - Legacy	175,268
Total Deferred Outflows	<u>211,037</u>

Liabilities, Deferred Inflows, and Net Position

Current Liabilities:

Accounts payable	\$128,710
Accrued expenses	12,947
Total OPEB liability	16,417
Net pension liability - Legacy	101,112
Customer deposits	116,250
Due to other funds	34,506
Current portion of long-term debt	338,810
Total Current Liabilities (payable from current assets)	<u>748,752</u>

Long-Term Debt:	<u>7,759,002</u>
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Total Liabilities	<u>\$8,507,754</u>
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Deferred Inflows:

Deferred inflow of resources - OPEB	24,812
Deferred inflow of resources - pension - Hybrid	23,191
Deferred inflow of resources - pension - Legacy	30,630
Total Deferred Inflows	<u>78,633</u>

Net Position:

Net Investment in Capital Assets	7,683,461
Restricted - Debt Service	389,693
Unrestricted	<u>1,731,157</u>

Total Net Position	<u>\$9,804,311</u>
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The notes accompanying the financial statements are an integral part of these financial statements.

CITY OF WESTMORELAND, TENNESSEE

Statement of Revenues, Expenses
and Changes in Net Position

Enterprise (Water and Sewer) Fund

For the Year Ended June 30, 2025

Operating Revenues:	
User service charges	3,068,618
Tap and installation	501,243
Total Operating Revenues	<u>3,569,861</u>
Operating Expenses:	
Salaries	450,370
Employee benefits	172,320
Contract labor	72,156
Water purchased	727,279
Office expense	15,764
Utilities	220,482
Professional services	56,264
Repair and maintenance	485,290
Chemicals and supplies	50,843
Vehicles expenses	52,984
Insurance	77,460
Depreciation	574,788
Total Operating Expenses	<u>2,956,000</u>
Operating income (loss)	<u>613,861</u>
Nonoperating Revenues (Expenses):	
Interest expense	(154,319)
Rental income	12,050
Interest income	3,075
Total Nonoperating Revenues (Expenses)	<u>(139,194)</u>
Other financing sources: capital contributions	<u>575,664</u>
Net change in Net Position	<u>1,050,331</u>
Net Position, July 1, 2024	<u>8,753,980</u>
Net Position, June 30, 2025	<u><u>\$9,804,311</u></u>

The notes accompanying the financial statements are an integral part of these financial statements.

CITY OF WESTMORELAND, TENNESSEE

Statement of Cash Flows

Enterprise Fund Type

Water and Sewer Fund

For the Year Ended June 30, 2025

Cash Flows from Operating Activities:	
Cash received from customers	3,537,072
Cash paid to suppliers	(2,849,695)
Cash paid to employees	(622,690)
Net Cash Provided (Used) by Operating Activities	<u>64,687</u>
Cash Flows from Capital and Related Financing Activities:	
Purchase of capital assets	(160,217)
Loan proceeds	562,438
Capital contributions	575,664
Interest paid	(154,319)
Repayment of debt	(372,871)
Net Cash Provided (Used) by Capital and Related Financing Activities	<u>450,695</u>
Cash Flows from Investing Activities:	
Redemption (Purchase) of certificate of deposit	(5,072)
Interest received	3,075
Net Cash Flows Provided (Used) from Investing Activities	<u>(1,997)</u>
Net Change in Cash	513,385
Cash and Cash Equivalents, July 1, 2024	1,284,094
Cash and Cash Equivalents, June 30, 2025	<u>1,797,479</u>

Reconciliation of Operating Income to Net Cash Provided (Used) by Operating Activities

Operating income (loss)	613,861
Adjustments to reconcile operating income to net cash provided (used) by operating activities:	
Depreciation	574,788
Lease	12,050
Change in assets (increase) decrease:	
Accounts receivable	(32,789)
Deferred outflows	(33,087)
Net pension asset - Hybrid	(13,632)
Due from other funds	(180,531)
Change in liabilities increase (decrease):	
Accounts payable	(413,890)
Accrued expenses	740
Unearned revenue - ARPA grants	(433,879)
Due to other funds	(68,604)
Total OPEB liability	6,179
Net pension liability - Legacy	20,617
Customer deposit	(12,355)
Deferred inflows	25,219
Net Cash Provided (Used) by Operating Activities	<u>64,687</u>

See notes accompanying the financial statements

CITY OF WESTMORELAND, TENNESSEE

**Statement of Revenues, Expenditures
and Changes in Fund Balance - Budget (GAAP Basis) and Actual**

General Fund

For the Year Ended June 30, 2025

	Original Budget	Final Budget	Actual	Variance with Final Budget Positive (Negative)
Revenues:				
Taxes:				
Property taxes	\$620,000	\$620,000	\$717,623	97,623
Penalty and interest	5,000	5,000	6,232	1,232
Local sales tax	850,000	850,000	736,376	(113,624)
Local beer and alcohol taxes	180,000	180,000	140,426	(39,574)
Business taxes	23,000	23,000	46,986	23,986
Cable TV tax	17,000	17,000	13,962	(3,038)
Total Taxes	<u>1,695,000</u>	<u>1,695,000</u>	<u>1,661,605</u>	<u>(33,395)</u>
Intergovernmental:				
State sales tax	360,000	360,000	362,488	2,488
State sports betting	0	0	6,142	6,142
State beer and alcohol tax	3,000	3,000	1,183	(1,817)
Mix drink tax	0	0	6,378	6,378
TVA in lieu	25,000	25,000	34,150	9,150
State telecommunications tax	0	0	7,820	7,820
State special petroleum tax	6,000	6,000	5,134	(866)
Federal and state grants	0	250,000	362,639	112,639
County fire allocation	0	0	61,556	61,556
Corporate excise tax	26,000	26,000	20,329	(5,671)
Total Intergovernmental Revenue	<u>420,000</u>	<u>670,000</u>	<u>867,819</u>	<u>197,819</u>
Licenses and Permits:				
Building licenses	20,000	20,000	84,164	64,164
Total Licenses and Permits	<u>20,000</u>	<u>20,000</u>	<u>84,164</u>	<u>64,164</u>
Fines and Fees				
Court fines and fees	140,100	140,100	177,154	37,054
Total Fines and fees	<u>140,100</u>	<u>140,100</u>	<u>177,154</u>	<u>37,054</u>
Miscellaneous:				
Miscellaneous	25,000	25,000	11,904	(13,096)
Donations	0	0	33,254	33,254
Fire revenue	7,500	7,500	9,010	1,510
Interest income	600	600	276	(324)
Total Miscellaneous Revenue	<u>33,100</u>	<u>33,100</u>	<u>54,444</u>	<u>21,344</u>
Total Revenues	<u>2,308,200</u>	<u>2,558,200</u>	<u>2,845,186</u>	<u>286,986</u>

The notes accompanying the financial statements are an integral part of these financial statements.

CITY OF WESTMORELAND, TENNESSEE

**Statement of Revenues, Expenditures
and Changes in Fund Balance - Budget (GAAP Basis) and Actual**

General Fund

For the Year Ended June 30, 2025

	<u>Original Budget</u>	<u>Final Budget</u>	<u>Actual</u>	<u>Variance with Final Budget Positive (Negative)</u>
Expenditures:				
General Government:				
Legislative board:				
Mayor	7,200	7,200	7,200	0
Town Council	6,000	6,000	6,000	0
Town Judge	6,000	6,000	4,400	1,600
Town Attorney	12,000	12,000	12,000	0
Payroll taxes	1,000	1,000	1,010	(10)
Election and planning commission	5,800	5,800	3,675	2,125
Office supplies	8,700	8,700	10,406	(1,706)
Utility	1,200	1,200	1,180	20
Professional services	16,790	16,790	35,951	(19,161)
Donations	7,250	7,250	17,649	(10,399)
Insurance	310	310	0	310
Supplies	3,500	3,500	3,650	(150)
Industrial development	40,000	40,000	23,639	16,361
Miscellaneous	9,500	9,500	1,973	7,527
	<u>125,250</u>	<u>125,250</u>	<u>128,733</u>	<u>(3,483)</u>
Capital outlay	0	0	0	0
Total Legislative board	<u>125,250</u>	<u>125,250</u>	<u>128,733</u>	<u>(3,483)</u>
Financial administration:				
Salaries	173,475	173,475	165,523	7,952
Payroll taxes	15,146	15,146	12,607	2,539
Employee benefits	63,578	63,578	61,833	1,745
Professional services	10,540	10,540	7,008	3,532
Office supplies/supplies	8,500	8,500	10,756	(2,256)
Travel and training	3,500	3,500	311	3,189
Utility	6,250	6,250	6,075	175
Insurance	5,000	5,000	3,464	1,536
Miscellaneous	650	650	303	347
	<u>286,639</u>	<u>286,639</u>	<u>267,880</u>	<u>18,759</u>
Capital outlay	8,000	8,000	0	8,000
Total Financial administration	<u>294,639</u>	<u>294,639</u>	<u>267,880</u>	<u>26,759</u>
Government building:				
Utilities	35,000	35,000	43,741	(8,741)
Maintenance and supplies	15,500	15,500	22,042	(6,542)
Insurance	15,000	15,000	3,567	11,433
Professional services	0	0	13,550	(13,550)
	<u>65,500</u>	<u>65,500</u>	<u>82,900</u>	<u>(17,400)</u>
Capital outlay	0	0	0	0
Debt service	15,800	15,800	15,252	548
Total Government building	<u>81,300</u>	<u>81,300</u>	<u>98,152</u>	<u>(16,852)</u>
Total General government	<u>501,189</u>	<u>501,189</u>	<u>494,765</u>	<u>6,424</u>

The notes accompanying the financial statements are an integral part of these financial statements.

CITY OF WESTMORELAND, TENNESSEE

**Statement of Revenues, Expenditures
and Changes in Fund Balance - Budget (GAAP Basis) and Actual**

General Fund

For the Year Ended June 30, 2025

	Original Budget	Final Budget	Actual	Variance with Final Budget Positive (Negative)
Public Safety				
Police Department:				
Current:				
Salaries	837,516	837,516	885,183	(47,667)
Payroll taxes	65,627	65,627	67,253	(1,626)
Employee benefits	217,026	217,026	147,686	69,340
Contracted service	102,992	102,992	85,396	17,596
Supplies and maintenance	26,100	26,100	25,936	164
Clothing and uniforms	9,000	9,000	11,751	(2,751)
Training/travel	9,000	9,000	6,959	2,041
Vehicle expense	73,000	73,000	76,624	(3,624)
Utilities	24,000	24,000	27,601	(3,601)
Insurance	85,000	85,000	85,426	(426)
Miscellaneous	10,500	10,500	486	10,014
	<u>1,459,761</u>	<u>1,459,761</u>	<u>1,420,301</u>	<u>39,460</u>
Debt service	28,405	28,405	15,168	13,237
Capital outlay	10,000	43,579	15,168	28,411
Total Police Department	<u>1,498,166</u>	<u>1,531,745</u>	<u>1,450,637</u>	<u>81,108</u>
Fire department:				
Current:				
Salaries and payroll taxes	39,069	39,069	37,813	1,256
Professional services	35,245	35,245	30,770	4,475
Training	1,500	1,500	1,400	100
Utilities	1,100	1,100	1,180	(80)
Truck expense	19,800	19,800	19,313	487
Insurance	15,000	15,000	16,866	(1,866)
Maintenance and supplies	8,600	8,600	46,252	(37,652)
Miscellaneous	1,500	1,500	1,482	18
	<u>121,814</u>	<u>121,814</u>	<u>155,076</u>	<u>(33,262)</u>
Capital outlay	56,200	306,200	355,023	(48,823)
Total Fire department	<u>178,014</u>	<u>428,014</u>	<u>510,099</u>	<u>(82,085)</u>
Total Public Safety	<u>1,676,180</u>	<u>1,959,759</u>	<u>1,960,736</u>	<u>(977)</u>
Streets department:				
Current:				
Salaries	19,524	19,524	17,723	1,801
Payroll taxes	1,350	1,350	2,756	(1,406)
Employee benefits	14,986	14,986	13,685	1,301
Building inspector	17,810	17,810	19,377	(1,567)
Maintenance and supplies	4,650	4,650	2,723	1,927
Street lights	90,000	90,000	88,384	1,616
Contracted services	5,540	5,540	5,561	(21)
Training and travel	4,700	4,700	771	3,929
Vehicles expenses	35,000	35,000	4,044	30,956
Insurance	10,000	10,000	6,319	3,681
Miscellaneous	600	600	563	37
	<u>204,160</u>	<u>204,160</u>	<u>161,906</u>	<u>42,254</u>
Capital outlay	0	0	29,333	(29,333)
Total Streets department	<u>204,160</u>	<u>204,160</u>	<u>191,239</u>	<u>12,921</u>

The notes accompanying the financial statements are an integral part of these financial statements.

CITY OF WESTMORELAND, TENNESSEE

**Statement of Revenues, Expenditures
and Changes in Fund Balance - Budget (GAAP Basis) and Actual**

General Fund

For the Year Ended June 30, 2025

	<u>Original Budget</u>	<u>Final Budget</u>	<u>Actual</u>	<u>Variance with Final Budget Positive (Negative)</u>
Recreation:				
Personnel costs	32,392	32,392	33,026	(634)
Utilities	10,000	10,000	10,044	(44)
Maintenance and supplies	25,600	25,600	42,148	(16,548)
Insurance	6,100	6,100	4,267	1,833
Miscellaneous	1,000	1,000	155	845
	<u>75,092</u>	<u>75,092</u>	<u>89,640</u>	<u>(14,548)</u>
Capital outlay	28,000	28,000	0	28,000
Total Recreation	<u>103,092</u>	<u>103,092</u>	<u>89,640</u>	<u>13,452</u>
 Total Expenditures	 <u>2,484,621</u>	 <u>2,768,200</u>	 <u>2,736,380</u>	 <u>31,820</u>
 Excess (deficiency) of Revenues over Expenditures	 <u>(176,421)</u>	 <u>(210,000)</u>	 <u>108,806</u>	 <u>318,806</u>
 Operating transfer:	 <u>0</u>	 <u>0</u>	 <u>(14,308)</u>	 <u>(14,308)</u>
 Net change in fund balance:	 <u>(176,421)</u>	 <u>(210,000)</u>	 <u>94,498</u>	 <u>304,498</u>
 Fund Balance, July 1, 2024	 997,113	 997,113	 997,113	 0
 Fund Balance, June 30, 2025	 <u>\$820,692</u>	 <u>\$787,113</u>	 <u>\$1,091,611</u>	 <u>\$304,498</u>

The notes accompanying the financial statements are an integral part of these financial statements.

CITY OF WESTMORELAND, TENNESSEE

**Statement of Revenues, Expenditures and
Changes in Fund Balance - Budget and Actual**

State Street Aid Fund

For the Year Ended June 30, 2025

	Original Budget	Final Budget	Actual	Variance with Final Budget Positive (Negative)
Revenues:				
Intergovernmental:				
Gasoline .03 tax	13,000	13,000	13,397	397
Gasoline 1989 tax	7,500	7,500	7,923	423
Gasoline 2017 tax	24,850	24,850	25,471	621
Gasoline and motor fuel	50,650	50,650	51,798	1,148
Miscellaneous:				
Interest	400	400	56	(344)
Total Revenues	96,400	96,400	98,645	2,245
Expenditures:				
Streets:				
Salaries and payroll	26,910	26,910	29,032	(2,122)
Professional services	8,040	8,040	5,561	2,479
Insurance	0	0	9,045	(9,045)
Street signs	2,500	2,500	1,779	721
Supplies	12,000	12,000	5,062	6,938
Vehicle expense	30,000	30,000	27,672	2,328
Maintenance and repair	8,300	38,300	28,234	10,066
Miscellaneous	150	150	106	44
	87,900	117,900	106,491	11,409
Capital outlay	8,500	8,500	0	8,500
Total Expenditures	96,400	126,400	106,491	19,909
Excess (deficiency) of revenues over expenditures	0	(30,000)	(7,846)	22,154
Fund Balance, July 1, 2024	53,097	53,097	53,097	-
Fund Balance, June 30, 2025	\$53,097	\$23,097	\$45,251	\$22,154

The notes accompanying the financial statements are an integral part of these financial statements.

CITY OF WESTMORELAND, TENNESSEE

**Statement of Revenues, Expenditures
and Changes in Fund Balance - Budget and Actual**

Solid Waste Fund

For the Year Ended June 30, 2025

	Original Budget	Final Budget	Actual	Variance with Final Budget Positive (Negative)
Revenues:				
Refuse collection	245,000	245,000	230,700	(14,300)
Other	200	200	1,176	976
Total	245,200	245,200	231,876	(13,324)
Expenditures:				
Salaries	59,130	59,130	52,580	6,550
Payroll taxes	4,200	4,200	4,023	177
Employee benefits	23,240	23,240	15,782	7,458
Disposal	57,000	57,000	65,098	(8,098)
Professional services	5,540	5,540	5,561	(21)
Truck expenses	19,500	19,500	22,355	(2,855)
Supplies	2,600	2,600	8,057	(5,457)
Insurance	12,000	12,000	12,556	(556)
Miscellaneous	1,988	1,988	344	1,644
	185,198	185,198	186,356	(1,158)
Capital outlay	2,600	2,600	0	2,600
Debt Service	57,402	57,402	57,402	0
Total Expenditures	245,200	245,200	243,758	1,442
Excess (deficiency) of revenues over expenditures	0	0	(11,882)	(11,882)
Fund Balance, July 1, 2024	86,141	86,141	86,141	0
Fund Balance, June 30, 2025	86,141	86,141	74,259	(11,882)

The notes accompanying the financial statements are an integral part of these financial statements.

CITY OF WESTMORELAND, TENNESSEE

**Statement of Revenues, Expenditures
and Changes in Fund Balance - Budget and Actual**

Drug Fund

For the Year Ended June 30, 2025

	Original Budget	Final Budget	Actual	Variance with Final Budget Positive (Negative)
Revenues:				
Miscellaneous:				
Fines	0	0	6,802	6,802
Grant	0	0	0	0
Total Revenues	0	0	6,802	6,802
Expenditures:				
Program costs	0	0	0	0
Total Expenditures	0	0	0	0
Excess (deficiency) of revenues over expenditures	0	0	6,802	6,802
Operating transfer:	0	0	14,308	14,308
Net change in fund balance:	0	0	21,110	21,110
Fund Balance, July 1, 2024	5,381	5,381	5,381	0
Fund Balance, June 30, 2025	5,381	5,381	26,491	21,110

The notes accompanying the financial statements are an integral part of these financial statements.

NOTES TO THE FINANCIAL STATEMENTS

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2025

(1) Summary of Significant Accounting Policies

The City of Westmoreland, Tennessee, was incorporated under Chapter 306 of the Private Acts of 1951. The City provides the following services, as authorized by its charter and duly passed ordinances: public safety (Police and Fire), water and sewerage, streets, recreations, public improvements, planning and zoning, and general administrative services. The accounting policies of the City of Westmoreland, Tennessee conform to generally accepted accounting principles as applicable to governments. The following is a summary of the more significant policies.

Reporting Entity:

In evaluating the City as a reporting entity, management follows all applicable GASB statements and has addressed all potential component units (traditionally separate reporting entities) for which the City may be financially accountable and, as such, should be included within the City's financial statements. The City (the primary government) is financially accountable if it appoints a voting majority of the organization's governing board and (1) it is able to impose its will on the organization or (2) there is a potential for the organization to provide specific financial benefit or to impose specific financial burden on the City. Additionally, the primary government is required to consider other organizations for which the nature and significance of their relationship with the primary government are such that exclusion would cause the reporting entity's financial statements to be misleading or incomplete. The City has one component unit at yearend, the Industrial Development Board of the City of Westmoreland. The financial statements of the Industrial Development Board of the City of Westmoreland have been included in this report, additionally the separately issued financial statement of the component unit are available at City Hall.

The financial statements now include government-wide financial statements prepared on the accrual basis of accounting and the economic measurement focus for all funds. The fund financial statements present information for individual major funds rather than by fund type. Nonmajor funds are presented in one column. The reporting includes the reporting of capital assets, infrastructure and depreciation, the elimination of account groups, and the inclusion of management's discussion and analysis. The government-wide financial statements present the City's programs between business-type and governmental activities.

Government -Wide and Fund Financial Statements

The Government-wide financial statements, the statement of Net Position and the statement of changes in Net Position, report information on all of the nonfiduciary activities of the primary government. For the most part the effect of the interfund activity has been removed from these statements. Government activities, which normally are supported by taxes and intergovernmental revenues, are reported separately from business-type activities, which rely to a significant extent on fees and charges for support.

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2025

(1) Summary of Significant Accounting Policies, Continued

The statement of activities demonstrates the degree to which the direct expenses of a given function or segment are offset by program revenues. Direct expenses are those that are clearly identifiable with a specific function or segment. Program revenues include (i) charges to customers or applicants who purchase, use or directly benefit from goods, services, or privileges provided by a given function or segment and (ii) grants and contributions that are restricted to meeting the operational or capital requirements of a particular function or segment. Taxes and other items not properly included among program revenues are reported as general revenues.

Separate financial statements are provided for governmental funds and enterprise funds. Major individual governmental funds and major individual enterprise funds are reported as separate columns in the fund financial statements.

Measurement Focus, Basis of Accounting, and Financial Statement Presentation

The government-wide financial statements are reported using the economic resources measurement focus and the accrual basis of accounting, as are the enterprise fund financial statements. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property taxes are recognized as revenues in the year for which they are levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been met.

Governmental fund revenues are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they become both measurable and collectable within the current period or soon enough thereafter to be used to pay liabilities of the current period. The government considers property taxes and other governmental revenues as available if received within 60 days of years end. Expenditures are recorded generally when a liability is incurred, as under accrual accounting. However, debt service expenditures, as well as expenditures related to compensated absences and claims and judgments are recorded only when payment is due.

Property taxes, state shared revenues, and interest associated with the current fiscal period are all considered to be susceptible to accrual and so have been recognized as revenues of the current fiscal period using the criteria specified in the paragraph above. All other revenue items are considered to be measurable and available only when cash is received by the government.

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2025

(1) Summary of Significant Accounting Policies, Continued

The government reports the following major funds:

General Fund - The General Fund is the general operating fund of the City. It is used to account for all financial resources of the general government except those required to be accounted for in another fund.

State Street Aid Fund - To account for the receipt and usage of the City's share of State gasoline taxes. State law requires these gasoline taxes to be used to maintain streets.

Solid Waste Fund - To account for the activity of the City's waste collection department.

Drug Fund - To account for drug fines received and usage of those monies to further drug investigations.

The government reports the following major enterprise funds:

The Utility Fund is used to account for water and sewer operations that are financed and operated in a manner similar to private business enterprises - where the intent of the governing body is that the costs (including depreciation) of providing goods or services to the general public on a continuing basis be financed or recovered primarily through user charges.

As a general rule the effect of interfund activity has been eliminated from the government-wide financial statements. Exceptions to this general rule are payments-in-lieu taxes and other charges between the government's utilities and various other functions of the government. Elimination of these charges would distort the direct costs and program revenues reported for the various functions concerned.

Amounts reported as program revenues include (i) charges to customers or applicants for goods, services, or privileges provided, (ii) operating grants and contributions, and (iii) capital grants and contributions. General revenues include all taxes and internally dedicated resources.

Enterprise funds distinguish operating revenues and expenses from nonoperating items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a enterprise fund's principal ongoing operations. The principal operating revenues of the various utility funds are charges to customers for sales and services. The Utility Fund also recognize as operating revenue the portion of tap fees intended to recover the cost of connecting new customers to the system. Operating expenses for enterprise funds include the cost of sales and services, administrative expenses, and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as non-operating revenues and expenses. When both restricted and unrestricted resources are available for use, it is the City's policy to use restricted resources first, then unrestricted resources as they are needed.

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2025

(1) Summary of Significant Accounting Policies, Continued

Cash and Cash Equivalents

Cash and cash equivalents consist primarily of savings accounts, certificates of deposit with original maturities three months or less and amounts held by the State Local Government Investment Pool.

Property Tax

The City's property tax is levied each November 1 on the assessed value listed as of the prior January 1 for all real and personal property located in the City's legal boundaries. All City taxes on real estate are declared to be a lien on such realty from January 1 of the year assessments are made.

Assessed values are established by the State of Tennessee at the following rates of appraised market value:

Public Utility Property	55%
Industrial and Commercial Property	
- Real	40%
- Personal	30%
Farm and Residential Property	25%

Taxes were levied at a rate of \$1.13 per \$100 of assessed valuation for the fiscal year ended June 30, 2025. Payments may be made during the period from October 1 through February 29. Current tax collections of \$672,511 for the fiscal year ended June 30, 2025 were approximately 97 percent of the tax levy.

Delinquent taxes are turned over to the City Attorney for collection as required by the City's Municipal Code.

Deferred Outflows/Inflows of Resources

In addition to assets, the Statement of Net Position will sometimes report a separate section for deferred outflows of resources. This separate financial statement element, deferred outflows of resources, represents a consumption of net position that applies to a future period(s) and so will not be recognized as an outflow of resources (expense/expenditure) until then. The government has two items (pension and OPEB) that qualify for reporting in this category.

In addition to liabilities, the Statement of Net Position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, deferred inflows of resources, represents an acquisition of net position that applies to a future period(s) and so will not be recognized as an inflow of resources (revenue) until that time. The government has items that qualify for reporting in this category. Accordingly, the items are reported in the government-wide Statement of Net Position and the governmental funds balance sheet. These revenues are from the following sources: current and delinquent property taxes, which do not meet the availability criteria in governmental funds. These amounts are deferred and recognized as an inflow of resources in the period that the amounts become available. Additionally, the City has two items (pension related and OPEB) that qualifies for reporting in this category.

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2025

(1) Summary of Significant Accounting Policies, Continued

Net Position Flow Assumption

Sometimes the government will fund outlays for a particular purpose from both restricted and unrestricted resources. In order to calculate the amounts to report as restricted – net position and unrestricted – net position in the government-wide and enterprise fund financial statements, a flow assumption must be made about the order in which the resources are considered to be applied. It is the City's policy to consider restricted – net position to have been depleted before unrestricted – net position is applied.

Capital Assets

Capital assets, which include property, plant and equipment, and infrastructure assets consisting of certain improvements other than buildings, including roads are reported in the applicable governmental or business-type activities columns in the government-wide financial statements. Capital assets are defined by the government as assets with an individual cost of \$5,000 and an estimated useful life in excess of three years. All capital assets are valued at historical cost or estimated useful life in excess of three years. All capital assets are valued at historical cost or estimated historical cost, if actual historical cost is not available. Donated capital assets are valued at their estimated fair value on the date donated. The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend asset lives are not capitalized. Interest incurred during the construction phase of capital assets of business-type activities is expensed when paid and thus not a part of the capitalized cost.

Depreciation is provided over the estimated useful lives using the straight-line method.

The estimated useful lives are as follows:

Infrastructure	40-50 years
Buildings	10-50 years
Utility Plant in Service	10-50 years
Furniture and Equipment	5-10 years

Inventory

Inventory of the Utility Fund is valued at cost, using the first in first out method. Inventory of all the governmental funds consists of expendable supplies held for consumption and are recorded at cost under the consumption method.

Receivables and Payables

Activity between funds that are representative of lending/ borrowing arrangements outstanding at the end of the fiscal year are referred to as either due from/ due to other funds (i.e. the current portion of interfund loans). Any residual balances outstanding between the governmental activities and business-type activities are reported in the government-wide financial statements as internal balances. Advances between funds, as reported in the fund financial statements, are offset by a fund balance reserve account in applicable governmental funds to indicate that they are not available for appropriation and are not expendable available resources. All trade receivables are shown net of an allowance for uncollectible, if applicable.

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2025

(1) Summary of Significant Accounting Policies, Continued

Long-term Obligations

In the government-wide financial statements, and enterprise fund types in the fund financial statements, long-term debt and other long-term obligations are reported as liabilities in the applicable governmental activities, business-type activities, or enterprise fund type statement of Net Position. Debt issuance costs, such as insurance costs, fees and other related costs are recognized as an expense. In the fund financial statements, governmental fund types recognize bond premiums and discounts, as well as bond issuance costs, during the current period. The face amount of debt issued is reported as other financing sources while discounts on debt issuances are reported as other financing uses. Issuance costs, whether or not withheld from the actual debt proceeds received, are reported as debt service expenditures.

Budgets and Budgetary Accounting

The City follows these procedures in establishing the budgetary data reflected in the financial statements:

- a. Formal budgets are adopted and approved by Council vote on an annual basis for the General and Special Revenue Funds. These budgets are adopted on a basis consistent with generally accepted accounting principles (GAAP).
- b. The City Council approves, by ordinance, total budget appropriations by department only. The Mayor is authorized to transfer budget amounts between line items within each department; however, any revisions that alter the total appropriations of any fund must be approved by the City Council.
- c. The budget amounts shown in the financial statements are the final authorized amounts as amended during the year.

Restricted Assets

Certain proceeds of the Enterprise Fund bonds, as well as certain resources set aside for their repayment, are classified as restricted assets on their respective balance sheets because they are maintained in separate bank accounts and their use is either limited by applicable bond covenants or represent proceeds from bond issues that are restricted for use in construction. When both restricted and unrestricted resources are available for use, it is the City's policy to use restricted resources first, then unrestricted resources as they are needed. When unrestricted funds are used the City uses committed, assigned then unassigned funds.

Other Post-Employment Benefit Plan - (OPEB)

For the purposes of measuring the net OPEB liability, deferred outflows of resources and deferred inflows of resources related to other postemployment benefits, and OPEB expense, information about the fiduciary net position of the City of Westmoreland's participation in the Local Government OPEB Plan (LGOP), and additions to/deductions from the City of Westmoreland fiduciary net position have been determined on the same basis as they are reported by the LGOP. For this purpose, benefits are recognized when due and payable in accordance with benefit terms of the LGOP.

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2025

(1) Summary of Significant Accounting Policies, Continued

Estimates

The preparation of financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

Fund Balance

The City implemented GASB 54 which addresses issues related to how fund balances are reported. Fund balances are now reported in the following manner:

Nonspendable Fund Balance - This classification includes amounts that are (a) not in spendable form, or (b) legally or contractually required to be maintained intact. The "not in spendable form" criterion includes terms that are not expected to be converted to cash, for example: inventories, prepaid amounts, and long-term notes receivable.

Restricted Fund Balance - This classification includes amounts that are restricted for specific purposes stipulated by external resource providers, constitutionally or through enabling legislation. Restrictions may effectively be changed or lifted with the consent of resource providers.

Committed Fund Balance - This classification includes amounts that can only be used for the specific purposes determined by a formal action of the City's highest level of decision-making authority, the City Council of the City of Westmoreland, Tennessee. Commitments may be changed or lifted only by the City taking the same formal action that imposed the constraint originally (for example: ordinance).

Assigned Fund Balance - This classification included amounts intended to be used by the City for specific purposes that are neither restricted nor committed. The City Council and its designee, the Recorder, have the authority to assign amounts to be used for specific purposes. Assigned amounts also include all residual amounts in governmental funds (except negative amounts) that are not classified as nonspendable, restricted, or committed.

Unassigned Fund Balance - This fund balance is the residual classification for the general fund. It is also used to report negative fund balances in other governmental funds.

In circumstances when an expenditure is made for a purpose for which amounts are available in multiple fund balance classifications, fund balance is depleted in the order of restricted, committed, assigned, and unassigned.

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2025

(1) Summary of Significant Accounting Policies, Continued

Compensated Absences

The City has not accrued a liability for unused sick and vacation pay which is earned but not taken by City employees as it is not material to the financial statements.

Pension

For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of Westmoreland's participation in the Public Employee Retirement Plan of the Tennessee Consolidated Retirement System (TCRS), and additions to/deductions from Westmoreland's fiduciary net position have been determined on the same basis as they are reported by the TCRS for the Public Employee Retirement Plan. For this purpose, benefits (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms of the Public Employee Retirement Plan of TCRS. Investments are reported at fair value.

Government Wide – Net Position

Net position is a component of equity and is displayed in the following three components:

Net Investment in Capital Assets – Consists of capital assets, net of accumulated depreciation and reduced by the outstanding balances of any bonds that are attributable to the acquisition, construction, or improvement of those assets; debt related to unspent proceeds or other restricted cash and investments is excluded from the determination.

Restricted – Consists of net position for which constraints are placed thereon by external parties, such as lenders, grantors, contributors, laws, regulations, and enabling legislation, including self-imposed legal mandates, less any related liabilities. The restrictions are evident from the classification titles.

Unrestricted – All other net position that does not meet the description of the above categories.

Leases

Under GASB Statement 87, a lessee is required to recognize a lease liability and an intangible right-to-use lease asset, and a lessor is required to recognize a lease receivable and a deferred inflow of resources, thereby enhancing the relevance and consistency of information about governments' leasing activities. Management has determined that the City's leases do not qualify for reporting under GASB 87 due to the short-term nature of the leases.

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2025

(2) Cash and Cash Equivalents

The City is authorized to invest funds in Federal treasury bills and notes, State of Tennessee Local Government Investment Pool and financial institution demand deposit accounts and certificates of deposit. During the year, the City invested funds that were not immediately needed in certificates of deposits, savings accounts and investments in the State of Tennessee Local Government Investment Pool. The City has deposit policies to minimize custodial credit risks. All deposits with financial institutions must be secured by one of two methods. One method involves financial institutions that participate in the bank collateral pool administered by the state treasurer. Participating banks determine the aggregate balance of their public fund accounts for the State of Tennessee and its political subdivisions. The amount of collateral required to secure these public deposits must equal at least 105 percent of the average daily balance of public deposits held. Collateral securities required to be pledged by the participating banks to protect their public fund accounts are pledged to the state treasurer on behalf of the bank collateral pool. The securities pledged to protect these accounts are pledged in the aggregate rather than against each account. The members of the pool may be required by agreement to pay an assessment to cover any deficiency. Under this additional assessment agreement, public fund accounts covered by the pool are considered to be insured for purposes of credit risk disclosure.

For deposits with financial institutions that do not participate in the bank collateral pool, state statutes require that all deposits be collateralized with collateral whose market value is equal to 105 percent of the uninsured amount of the deposits. The collateral must be placed by the depository bank in an escrow account in a second bank for the benefit of the city. Cash and cash equivalents were adequately covered by federal depository insurance, insured by the depository bank's participation in the State of Tennessee Bank Collateral Pool or collateralized by securities, pledged for deposits, held by an independent third-party financial institution under the terms of a safekeeping collateral agreement in the City's name. Investment policies of the City follow state law and bond requirements prohibiting investments that are not secured or insured by the U.S. Government.

(3) Accounts Receivable

Accounts receivable at June 30, 2025, consist of the following:

<u>Fund</u>	<u>Other Government</u>	<u>Property Taxes</u>	<u>Customer Accounts</u>	<u>Total</u>
General Fund	\$ 159,530	824,884	-	984,414
Special Revenue Fund	16,287	-	18,639	34,926
Enterprise Fund	-	-	347,269	347,269
Less allowance for doubtful accounts	-	-	(95,779)	(95,779)
Total	\$ 175,817	824,884	270,129	1,270,830

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2025

(4) Capital Assets

A summary of changes in capital assets as presented in the governmental activities column of the government- wide financial statements is as follows:

	Balance <u>July 1, 2024</u>	<u>Additions</u>	<u>Deletions</u>	Balance <u>June 30, 2025</u>
Assets Not Being Depreciated				
Land	\$ 152,806	-	-	\$ 152,806
Assets Being Depreciated				
Improvements	583,017	-	-	583,017
Infrastructure	1,759,613	-	-	1,759,613
Building	1,028,814	-	-	1,028,814
Vehicles and equipment	<u>2,380,110</u>	<u>399,524</u>	<u>-</u>	<u>2,779,634</u>
Total	\$ <u>5,904,360</u>	<u>399,524</u>	<u>-</u>	\$ <u>6,303,884</u>
Less accumulated depreciation	(2,910,893)			(3,130,778)
Net Capital assets	\$ <u>2,993,467</u>			\$ <u>3,173,106</u>

All assets, except land of \$152,806, are being depreciated.

Depreciation expense was charged to functions/programs of the primary government as follows:

General Fund:	
General government administration	\$ 41,891
Police department	43,184
Fire department	39,985
Highways and Streets	90,879
Parks department	<u>3,946</u>
Total	\$ <u>219,885</u>

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2025

(4) Capital Assets, Continued

A summary of changes in Enterprise (Water) Department capital assets and related accumulated depreciation follows:

	Balance July 1, 2024	Additions	Deletions	Balance June 30, 2025
Assets Not Being Depreciated				
Land	\$ 5,000	-	-	\$ 5,000
Construction in progress	1,379,411	12,060	1,391,471	-
Assets Not Depreciated				
Furniture	8,962	-	-	8,962
Equipment	338,291	-	-	338,291
Buildings	40,250	-	-	40,250
Plant and distribution	<u>6,984,618</u>	<u>1,442,557</u>	<u>-</u>	<u>8,427,175</u>
Total	\$ <u>8,756,532</u>	<u>1,454,617</u>	<u>1,391,471</u>	\$ <u>8,819,678</u>
Less accumulated depreciation	<u>(3,981,172)</u>			<u>(4,199,220)</u>
Net plant in service	\$ <u>4,775,360</u>			\$ <u>4,620,458</u>

All assets, except land of \$5,000, are being depreciated. Depreciation expense was \$218,048 in 2025.

A summary of changes in Enterprise (Sewer) Department capital assets and related accumulated depreciation follows:

	Balance July 1, 2024	Additions	Deletions	Balance June 30, 2025
Assets Not Being Depreciated				
Land	\$ 9,701	-	-	\$ 9,701
Construction in progress	8,441,796	-	8,430,251	11,545
Assets Not Being Depreciated				
Building	40,250	-	-	40,250
Equipment	234,743	-	-	234,743
Plant and distribution	<u>6,836,307</u>	<u>8,527,322</u>	<u>-</u>	<u>15,363,629</u>
Total	\$ <u>15,562,797</u>	<u>8,527,322</u>	<u>8,430,251</u>	\$ <u>15,659,868</u>
Less accumulated depreciation	<u>(4,142,313)</u>			<u>(4,499,053)</u>
Net plant in service	\$ <u>11,420,484</u>			\$ <u>11,160,815</u>

All assets, except land of \$9,701 and CIP of \$11,545, are being depreciated. Depreciation expense was \$356,740 in 2025.

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2025

(5) Long-Term Debt and Other Obligations Payable

Direct Borrowings

The following schedule reflects the changes in general obligation long-term debt during fiscal year 2025.

Loans Payable:	Balance July 1, 2024	Additions	Retirements	Balance June 30, 2025	Due Within One Year
Note payable - Park paving	28,498	0	12,408	16,090	12,662
Note payable - police car	15,017	0	15,017	0	0
Note payable - Sanitation	249,991	0	45,435	204,556	47,610
Loan payable - building	43,048	0	993	42,055	954
Total	<u>336,554</u>	<u>0</u>	<u>73,853</u>	<u>262,701</u>	<u>61,226</u>

The following schedule reflects the changes in long-term debt, as shown in the Enterprise (Water) Department during the fiscal year 2025.

Loans Payable:	Balance July 1, 2024	Additions	Retirements	Balance June 30, 2025	Due Within One Year
Revenue bonds - 2009	417,127	0	11,230	405,897	11,090
Revenue bonds - 1996	162,616	0	908	161,708	25,004
Revenue bonds - 2017	562,541	0	12,210	550,331	12,460
Water meter loan	607,412	0	46,370	561,042	50,763
Revenue bonds - 1997a	58,105	0	2,822	55,283	6,055
Total	<u>1,807,801</u>	<u>0</u>	<u>73,540</u>	<u>1,734,261</u>	<u>105,372</u>

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2025

(5) Long-Term Debt and Other Obligations Payable, Continued

The following schedule reflects the changes in long-term debt, as shown in the Enterprise (Sewer) Department during the fiscal year 2025.

Loans Payable:	Balance July 1, 2024	Additions	Retirements	Balance June 30, 2025	Due Within One Year
CW8-21-457	1,819,373	0	95,208	1,724,165	0
SRF-21-458	3,877,898	0	188,112	3,689,786	189,216
CW9-23-335	310,015	567,139	13,923	863,231	34,056
Revenue bonds - 1997b	88,457	0	2,088	86,369	10,166
Total	<u>6,095,743</u>	<u>567,139</u>	<u>299,331</u>	<u>6,363,551</u>	<u>233,438</u>

Principal and interest requirements to maturity on all outstanding general obligation bonds, loans and obligations as of June 30, 2025, are as follows:

Year Ending June 30,	Principal	Interest
2026	61,226	11,619
2027	54,300	8,932
2028	53,292	6,404
2029	55,821	3,871
2030	1,074	1,218
2031-2035	5,874	5,586
2036-2040	6,811	4,649
2041-2045	7,895	3,565
2046-2050	9,152	2,308
2051-2054	<u>7,256</u>	<u>640</u>
Total	<u>262,701</u>	<u>48,792</u>

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2025

(5) Long-Term Debt and Other Obligations Payable, Continued

Principal and interest requirements to maturity on all outstanding bonds, loans and obligations as of June 30, 2025, are as follows:

Year Ending June 30,	<u>Water Department</u>		<u>Sewer Department</u>	
	<u>Principal</u>	<u>Interest</u>	<u>Principal</u>	<u>Interest</u>
2026	105,372	60,653	233,438	46,834
2027	117,316	56,429	236,278	44,445
2028	129,161	51,546	239,201	42,039
2029	136,880	46,557	243,904	39,618
2030	122,639	41,606	248,124	37,277
2031-2035	440,313	150,126	1,226,720	150,885
2036-2140	174,542	93,898	1,263,936	88,956
2041-2045	206,496	61,944	947,785	24,310
2046-2050	163,310	26,666	-	-
2051-2055	113,662	9,998	-	-
2056	<u>24,570</u>	<u>162</u>	<u>-</u>	<u>-</u>
Total	<u>1,734,261</u>	<u>599,585</u>	<u>4,639,386*</u>	<u>474,364</u>

*Additionally, the Sewer Department has an interim loan CW8-21-457 of \$1,724,165. This loan will be included in this schedule when the loan is fully funded.

The above bonds payable contain provisions that in the event of default, the lender can use any remedy allowed by state or federal law.

(6) Risk Management

The City of Westmoreland is exposed to various risks to general liability and property and casualty losses. The City has decided it was more economically feasible to join a public entity risk pool as opposed to purchasing commercial insurance for general liability and property and casualty coverage. The City participates in the Public Entity Partners (formerly TML Insurance Pool) which is a public entity risk pool established by the Tennessee Municipal League, an association of member cities. The City pays an annual premium for its general liability and property and casualty insurance coverage. The creation of the pool provides for it to be self-sustaining through member premiums. The pool reinsures through commercial insurance companies for claims in excess of \$130,000 for each insured event. The City has not had claims in excess of insurance coverage during the last three years.

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2025

(7) Pension Plan - Legacy

General Information about the Pension Plan

Plan description. Employees of Westmoreland are provided a defined benefit pension plan through the Public Employee Retirement Plan, an agent multiple-employer pension plan administered by the TCRS. The TCRS was created by state statute under Tennessee Code Annotated Title 8, Chapters 34-37. The TCRS Board of Trustees is responsible for the proper operation and administration of the TCRS. The Tennessee Treasury Department, an agency in the legislative branch of state government, administers the plans of the TCRS. The TCRS issues a publicly available financial report that can be obtained at <http://treasury.tn.gov/Retirement/Boards-and-Governance/Reporting-and-Investment-Policies>.

Benefits provided. Tennessee Code Annotated, Title 8, Chapter 34-37, establishes the benefit terms and can be amended only by the Tennessee General Assembly. The chief legislative body may adopt the benefit terms permitted by statute. Members are eligible to retire with an unreduced benefit at age 60 with 5 years of service credit or after 30 years of service credit regardless of age. Benefits are determined by formula using the member's highest five consecutive year average compensation and the member's years of service credit. Reduced benefits for early retirement are available at age 55 and vested. Members vest with five years of service credit. Service-related disability benefits are provided regardless of length of service. Five years of service is required for nonservice-related disability eligibility. The service related and non-service related disability benefits are determined in the same manner as a service retirement benefit but are reduced 10 percent and include projected service credits. A variety of death benefits are available under various eligibility criteria.

Member and beneficiary annuitants are entitled to automatic cost of living adjustments (COLAs) after retirement. A COLA is granted each July for annuitants retired prior to the 2nd of July of the previous year. The COLA is based on the change in the consumer price index (CPI) during the prior calendar year, capped at 3 percent, and applied to the current benefit. No COLA is granted if the change in the CPI is less than one-half percent. A one percent COLA is granted if the CPI change is between one-half percent. A member who leaves employment may withdraw their employee contributions, plus any accumulated interest.

Employees covered by benefit terms. At the measurement date of June 30, 2024, the following employees were covered by the benefit terms:

Inactive employees or beneficiaries currently receiving benefits	17
Inactive employees entitled to but not yet receiving benefits	23
Active employees	<u>7</u>
Total	<u>47</u>

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2025

(7) Pension Plan - Legacy, Continued

Contributions. Contributions for employees are established in the statutes governing the TCRS and may only be charged by the Tennessee General Assembly. Westmoreland makes employer contributions at the rate set by the Board of Trustees as determined by an actuarial valuation. For the year ended June 30, 2025, actuarially determined contribution (ADC) for Westmoreland were \$110,516 based on a rate of 16.05% percent of covered payroll. By law, employer contributions are required to be paid. The TCRS may intercept Westmoreland's state shared taxes if required employer contributions are not remitted. The employer's actuarially determined contribution (ADC) and member contributions are expected to finance the costs of benefits earned by members during the year, the cost of administration, as well as an amortized portion of any unfunded liability.

Net Pension Liability (Asset)

Westmoreland's net pension liability (asset) was measured as of June 30, 2024, and the total pension liability used to calculate net pension liability (asset) was determined by an actuarial valuation as of that date.

Actuarial assumptions. The total pension liability as of June 30, 2024 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

<i>Inflation</i>	2.25 percent
<i>Salary increases</i>	Graded salary ranges from 8.72 to 3.44 percent based on age, including inflation averaging 4.00 percent.
<i>Investment rate of return</i>	6.75 percent, net of pension plan investment expenses, including inflation.
<i>Cost-of-Living Adjustment</i>	2.125 percent

Mortality rates were based on actual experience including an adjustment for some anticipated improvement.

The actuarial assumptions used in the June 30, 2024 actuarial valuation were based on the results of an actuarial experience study performed for the period July 1, 2016 through June 30, 2020. The demographic assumptions were adjusted to more closely reflect actual and expected future experience.

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2025

(7) Pension Plan - Legacy, Continued

The long-term expected rate of return on pension plan investments was established by the TCRS Board of Trustees in conjunction with the June 30, 2020 actuarial experience study. A blend of future capital market projections and historical market returns was used in a building-block method in which a best-estimate of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) is developed for each major asset class. These best-estimates are combined to produce the long-term expected rate of return by weighting the expected future real rates by return by the target asset allocation percentage and by adding expected inflation of 2.25 percent. The best-estimates of geometric real rates of return and the TCRS investment policy target asset allocation for each major asset class are summarized in the following table:

<u>Asset class</u>	<u>Long-term Expected Real Rate of Return</u>	<u>Target Allocation</u>
U.S. equity	4.88%	31%
Developed market international equity	5.37%	14%
Emerging market international equity	6.09%	4%
Private equity and strategic lending	6.57%	20%
U.S. fixed income	1.20%	20%
Real Estate	4.38%	10%
Short-term securities	0.00%	1%
Total		100%

The long-term expected rate of return on pension plan investments was established by the TCRS Board of Trustees as 6.75 percent based on a blending of the three factors described above.

Discount rate. The discount rate used to measure the total pension liability was 6.75 percent. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the current rate and that contributions from Westmoreland will be made at the actuarially determined contribution rate pursuant to an actuarial valuation in accordance with the funding policy of the TCRS Board of Trustees and as required to be paid by state statute. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make projected future benefit payments of current active and inactive members. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2025

(7) Pension Plan - Legacy, Continued

Changes in the Net Pension Liability (Asset)

	Increase (Decrease)		
	Total Pension Liability (Asset)	Plan Fiduciary Net Position	Net Pension Liability (Asset)
	(a)	(b)	(a) - (b)
Balance at 6/30/23	\$2,359,556	\$2,147,728	\$211,828
Changes for the Year:			
Service Cost	33,157	-	33,157
Interest	157,982	-	157,982
Changes in benefit terms	-	-	-
Differences between expected and actual experience	106,116	-	106,116
Changes in assumptions	-	-	-
Contributions-employer	-	67,862	(67,862)
Contributions-employees	-	-	-
Net investment income	-	207,797	(207,797)
Benefit payments, including refunds of employee contributions	(104,469)	(104,469)	-
Administrative expense	-	(1,721)	1,721
Other changes	-	-	-
Net changes	192,786	169,469	23,317
Balance at 6/30/24	<u>\$ 2,552,342</u>	<u>\$ 2,317,197</u>	<u>\$ 235,145</u>

Sensitivity of the net pension liability (asset) to changes in the discount rate. The following presents the net pension liability (asset) of Westmoreland calculated using the discount rate of 6.75 percent, as well as what the net pension liability (asset) would be if it were calculated using a discount rate that is 1-percentage-point lower (5.75 percent) or 1-percentage-point higher (7.75 percent) than the current rate:

	1% Decrease (5.75%)	Current Discount Rate (6.75%)	1% Increase (7.75%)
Westmoreland's net pension Liability (asset)	\$619,155	\$235,145	(\$77,081)

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2025

(7) Pension Plan - Legacy, Continued

Pension Expense (Negative Pension Expense) and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

Pension expense (negative pension expense). For the year ended June 30, 2025, Westmoreland recognized pension expense of \$130,078.

Deferred outflows of resources and deferred inflows of resources. For the year ended June 30, 2025, Westmoreland reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	<u>Deferred Outflows of Resources</u>	<u>Deferred Inflows of Resources</u>
Differences between expected and Actual experience	170,989	47,407
Net difference between projected and Actual earning on pension plan Investments	-	23,825
Changes in Assumptions	126,094	-
Contributions subsequent to the Measurement date of June 30, 2024	<u>110,516</u>	<u>-</u>
Total	<u>407,599</u>	<u>71,232</u>

The amount shown above for "Contributions subsequent to the measurement date of June 30, 2024," will be recognized as a reduction (increase) to net position liability (asset) in the following measurement period.

Amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended June 30:

2026	\$73,295
2027	\$146,565
2028	\$3,053
2029	\$2,938
2030	-
Thereafter	-

In the table shown above, positive amounts will increase pension expense while negative amounts will decrease pension expense.

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2025

(8) Pension Plan - Hybrid

General Information about the Pension Plan

Plan description. Employees of Westmoreland are provided a defined benefit pension plan through the Public Employee Retirement Plan, an agent multiple-employer pension plan administered by the TCRS. The TCRS was created by state statute under Tennessee Code Annotated Title 8, Chapters 34-37. The TCRS Board of Trustees is responsible for the proper operation and administration of the TCRS. The Tennessee Treasury Department, an agency in the legislative branch of state government, administers the plans of the TCRS. The TCRS issues a publicly available financial report that can be obtained at <http://treasury.tn.gov/Retirement/Boards-and-Governance/Reporting-and-Investment-Policies>.

Benefits provided. Tennessee Code Annotated, Title 8, Chapter 34-37, establishes the benefit terms and can be amended only by the Tennessee General Assembly. The chief legislative body may adopt the benefit terms permitted by statute. Members are eligible to retire with an unreduced benefit at age 60 with 5 years of service credit or after 30 years of service credit regardless of age. Benefits are determined by formula using the member's highest five consecutive year average compensation and the member's years of service credit. Reduced benefits for early retirement are available at age 55 and vested. Members vest with five years of service credit. Service-related disability benefits are provided regardless of length of service. Five years of service is required for nonservice-related disability eligibility. The service related and non-service related disability benefits are determined in the same manner as a service retirement benefit but are reduced 10 percent and include projected service credits. A variety of death benefits are available under various eligibility criteria.

Member and beneficiary annuitants are entitled to automatic cost of living adjustments (COLAs) after retirement. A COLA is granted each July for annuitants retired prior to the 2nd of July of the previous year. The COLA is based on the change in the consumer price index (CPI) during the prior calendar year, capped at 3 percent, and applied to the current benefit. No COLA is granted if the change in the CPI is less than one-half percent. A one percent COLA is granted if the CPI change is between one-half percent. A member who leaves employment may withdraw their employee contributions, plus any accumulated interest.

Employees covered by benefit terms. At the measurement date of June 30, 2024, the following employees were covered by the benefit terms:

Inactive employees or beneficiaries currently receiving benefits	0
Inactive employees entitled to but not yet receiving benefits	8
Active employees	<u>10</u>
Total	<u>18</u>

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2025

(8) Pension Plan - Hybrid, Continued

Contributions. Contributions for employees are established in the statutes governing the TCRS and may only be charged by the Tennessee General Assembly. Westmoreland makes employer contributions at the rate set by the Board of Trustees as determined by an actuarial valuation. For the year ended June 30, 2025, actuarially determined contribution (ADC) for Westmoreland were \$0 based on a rate of 6.85% percent of covered payroll. By law, employer contributions are required to be paid. The TCRS may intercept Westmoreland's state shared taxes if required employer contributions are not remitted. The employer's actuarially determined contribution (ADC) and member contributions are expected to finance the costs of benefits earned by members during the year, the cost of administration, as well as an amortized portion of any unfunded liability.

Net Pension Liability (Asset)

Westmoreland's net pension liability (asset) was measured as of June 30, 2024, and the total pension liability used to calculate net pension liability (asset) was determined by an actuarial valuation as of that date.

Actuarial assumptions. The total pension liability as of June 30, 2024 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

<i>Inflation</i>	2.25 percent
<i>Salary increases</i>	Graded salary ranges from 8.72 to 3.44 percent based on age, including inflation averaging 4.00 percent.
<i>Investment rate of return</i>	6.75 percent, net of pension plan investment expenses, including inflation.
<i>Cost-of-Living Adjustment</i>	2.125 percent

Mortality rates were based on actual experience including an adjustment for some anticipated improvement.

The actuarial assumptions used in the June 30, 2024 actuarial valuation were based on the results of an actuarial experience study performed for the period July 1, 2016 through June 30, 2020. The demographic assumptions were adjusted to more closely reflect actual and expected future experience.

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2025

(8) Pension Plan - Hybrid, Continued

The long-term expected rate of return on pension plan investments was established by the TCRS Board of Trustees in conjunction with the June 30, 2020 actuarial experience study. A blend of future capital market projections and historical market returns was used in a building-block method in which a best-estimate of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) is developed for each major asset class. These best-estimates are combined to produce the long-term expected rate of return by weighting the expected future real rates by return by the target asset allocation percentage and by adding expected inflation of 2.25 percent. The best-estimates of geometric real rates of return and the TCRS investment policy target asset allocation for each major asset class are summarized in the following table:

<u>Asset class</u>	<u>Long-term Expected Real Rate of Return</u>	<u>Target Allocation</u>
U.S. equity	4.88%	31%
Developed market international equity	5.37%	14%
Emerging market international equity	6.09%	4%
Private equity and strategic lending	6.57%	20%
U.S. fixed income	1.20%	20%
Real Estate	4.38%	10%
Short-term securities	0.00%	1%
Total		<u>100%</u>

The long-term expected rate of return on pension plan investments was established by the TCRS Board of Trustees as 6.75 percent based on a blending of the three factors described above.

Discount rate. The discount rate used to measure the total pension liability was 6.75 percent. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the current rate and that contributions from Westmoreland will be made at the actuarially determined contribution rate pursuant to an actuarial valuation in accordance with the funding policy of the TCRS Board of Trustees and as required to be paid by state statute. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make projected future benefit payments of current active and inactive members. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2025

(8) Pension Plan - Hybrid, Continued

Changes in the Net Pension Liability (Asset)

	Increase (Decrease)		
	Total Pension Liability (Asset)	Plan Fiduciary Net Position	Net Pension Liability (Asset)
	(a)	(b)	(a) - (b)
Balance at 6/30/23	\$94,868	\$82,384	\$12,484
Changes for the Year:			
Service Cost	44,889	-	44,889
Interest	9,434	-	9,434
Changes in benefit terms	-	-	-
Differences between expected and actual experience	(50,364)	-	(50,364)
Changes in assumptions	-	-	-
Contributions-employer	-	38,967	(38,967)
Contributions-employees	-	-	-
Net investment income	-	9,908	(9,908)
Benefit payments, including refunds of employee contributions	-	-	-
Administrative expense	-	(729)	729
Other changes	-	-	-
Net changes	3,959	48,146	(44,187)
Balance at 6/30/24	<u>\$ 98,827</u>	<u>\$ 130,530</u>	<u>\$ (31,703)</u>

Sensitivity of the net pension liability (asset) to changes in the discount rate. The following presents the net pension liability (asset) of Westmoreland calculated using the discount rate of 6.75 percent, as well as what the net pension liability (asset) would be if it were calculated using a discount rate that is 1-percentage-point lower (5.75 percent) or 1-percentage-point higher (7.75 percent) than the current rate:

	1% Decrease (5.75%)	Current Discount Rate (6.75%)	1% Increase (7.75%)
Westmoreland's net pension Liability (asset)	(\$6,836)	(\$31,703)	(\$50,877)

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2025

(8) Pension Plan - Hybrid, Continued

Pension Expense (Negative Pension Expense) and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

Pension expense (negative pension expense). For the year ended June 30, 2025, Westmoreland recognized pension expense of \$46,346.

Deferred outflows of resources and deferred inflows of resources. For the year ended June 30, 2025, Westmoreland reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	<u>Deferred Outflows of Resources</u>	<u>Deferred Inflows of Resources</u>
Differences between expected and Actual experience	30,043	52,254
Net difference between projected and Actual earning on pension plan Investments	-	1,680
Changes in Assumptions	884	-
Contributions subsequent to the Measurement date of June 30, 2024	-	-
Total	<u>30,927</u>	<u>53,934</u>

The amount shown above for "Contributions subsequent to the measurement date of June 30, 2024," will be recognized as a reduction (increase) to net position liability (asset) in the following measurement period.

Amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended June 30:

2026	(\$1,866)
2027	(\$1,507)
2028	(\$2,065)
2029	(\$2,068)
2030	(\$1,457)
Thereafter	(\$14,038)

In the table shown above, positive amounts will increase pension expense while negative amounts will decrease pension expense.

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2025

(9) Other Postemployment Benefits For Retiree Health Insurance

Plan description – Employees of the City, who were hired prior to July 1, 2015, are provided with pre-65 retiree health insurance benefits through the closed Local Government OEB Plan (LGOP) administered by the Tennessee Department of Finance and Administration. This plan is considered to be multiple-employer defined benefit plan that is used to provide postemployment benefits other than pensions (OPEB). However, for accounting purposes, this plan will be treated as a single-employer plan. All eligible pre-65 retired employees and disability participants of local governments, who chose coverage, participate in the LGOP. This plan is closed to the employees of all participating employers that were hired on or after July 1, 2015.

Benefits provided -The City offers the LGOP to provide health insurance coverage to eligible pre-65 retirees and disabled participants of local governments. Insurance coverage is the only postemployment benefit provided to retirees. An insurance committee created in accordance with TCA 8-27-701 establishes and amends the benefit terms of the LGOP. All members have the option of choosing between the premier preferred provider organization (PPO), standard PPO, limited PPO or the wellness health-savings consumer-driven health plan (CDHP) for healthcare benefits. Retired plan members, of the LGOP, receives the same plan benefits as active employees, at a blended premium rate that considers the cost of all participants. This creates an implicit subsidy for retirees. Participating employers determine their own policy related to direct subsidies provided for the retiree premiums. The City does not directly subsidize and are only subject to the implicit. The LGOP is funded on a pay-as-you-go basis and there are no assets accumulating in a trust that meets the criteria of paragraph 4 of GASB Statement NO. 75.

Employees covered by benefit terms. At July 1, 2024, the following employees were covered by the benefit terms of the LGOP:

Inactive employees or beneficiaries currently receiving benefits	0
Inactive employees entitled to but not yet receiving benefits	0
Active employees eligible for benefits	<u>24</u>
Total	<u>24</u>

An insurance committee, created in accordance with TCA 8-27-701, establishes the required payments to the LGOP by member employers and employees through the blended premiums established for active and retired employees. Claims liabilities of the plan are periodically computed using actuarial and statistical techniques to established premium rates. For the fiscal year ended June 30, 2025, the City paid \$65 to the LGOP for OPEB benefits as they came due.

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2025

(9) Other Postemployment Benefits For Retiree Health Insurance, Continued

Total OPEB Liability

Actuarial assumptions - The collective total OPEB liability on the June 30, 2025 actuarial valuation was determined using the following actuarial assumptions and other inputs, applied to all the periods included in the measurement, unless otherwise specified.

Inflation -	2.25%
Salary increases -	Graded salary ranges from 3.44 to 8.72 percent based on age, including inflation, averaging 4 percent.
Healthcare cost trend rates -	10.68% for pre-65 in 2024, decreasing annually over a 13-year period to an ultimate rate of 4.50%. 13.44% for post-65 in 2024, decreasing annually over a 12 year period to an ultimate rate of 4.50%
Retiree's share of benefit-related costs -	Members are required to make monthly contributions in order to maintain their coverage. For the purpose of this valuation a weighted average has been used with weights derived from the current distributions of members among plans offered.

Unless noted otherwise, the actuarial demographic assumptions used in the June 30, 2024, valuations were the same as those employed in the July 1, 2020 Pension Actuarial Valuation of the Tennessee Consolidated Retirement System (TCRS). These assumptions were developed by TCRS based on the results of an actuarial experience study for the period July 1, 2016 - June 30, 2020. The demographic assumptions were adjusted to more closely reflect actual and expected future experience. Mortality tables are used to measure the probabilities of participants dying before and after retirement. The mortality rates employed in this valuation are taken from the headcount-Weighted below median teachers PUB-2010 Healthy Participant Mortality table for Annuitants for non-disabled post-retirement mortality, with mortality improvement projected to all future years using Scale MP-2021. Post-retirement tables are adjusted with a 19% load for males and a 18% load for females. Mortality rates for impaired lives are the same as those used by TCRS and are taken from a gender distinct table published in the IRS Ruling 96-7 for disabled lives with a 10% load, projected generationally from 2018 with MP-2021.

Discount rate-The discount rate used to measure the total OPEB liability was 3.93 percent. This rate reflects the interest rate derived from yields on a 20-year, tax exempt general obligation municipal bonds, prevailing on the measurement date, with an average rating of AA/Aa as shown on the Bond Buyer 20-year Municipal GO AA index.

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2025

(9) Other Postemployment Benefits For Retiree Health Insurance, Continued

Changes in the Total OPEB Liability

	Total OPEB Liability (a)
Total OPEB liability - beginning balance	\$ 26,942
Changes for the year:	
Service cost	\$ 7,050
Interest	\$ 1,240
Changes of benefit terms	\$ -
Differences between expected and actual experience	\$ (1,680)
Change in assumptions	\$ 4,643
Benefit payments	\$ (16)
Net changes	\$ 11,237
Total OPEB liability - ending balance	\$ 38,179

Changes in assumptions - The discount rate was changed from 3.65% as of the beginning of the measurement period to 3.93% as of June 30, 2024. This change in assumption decreased the total OPEB liability. Other changes in assumptions include adjustments to initial per capita costs and health trend rates.

Sensitivity of total OPEB liability to changes in the discount rate - The following presents the total OPEB liability related to the LGOP, as well as what the total OPEB liability would be if it were calculated using a discount rate that is 1-percentage-point lower or 1-percentage higher than the current discount rate.

1% Decrease	Current Discount Rate Assumption	1% Increase
(2.93%)	(3.93%)	(4.93%)
\$ 41,987	\$ 38,179	\$ 34,684

Sensitivity of total OPEB liability to changes in the healthcare cost trend rate - The following presents the total OPEB liability related to the LGOP, as well as what the total OPEB liability would be if it were calculated using a healthcare cost trend rate that is 1-percentage-lower or 1-percentage-point-higher than the current healthcare cost trend rate.

1% Decrease	Current Healthcare Cost Trend Rate Assumption	1% Increase
(5.60% decreasing to 3.50%)	(6.60% decreasing to 4.50%)	(7.60% decreasing to 5.50%)
\$ 32,968	\$ 38,179	\$ 44,428

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2025

(9) Other Postemployment Benefits For Retiree Health Insurance, Continued

OPEB Expense and Deferred Outflows of Resources and Deferred Inflows of Resources Related to OPEB

OPEB Expense - For the fiscal year ended June 30, 2025, the City of Westmoreland recognized OPEB expense of \$2,664.

Deferred Outflows of Resources and Deferred Inflows of Resources - For the year ended June 30, 2025, the City of Westmoreland reported deferred outflows of resources and deferred inflows of resources related to OPEB benefits in the LGOP from the following sources:

	<u>Deferred Outflows of Resources</u>	<u>Deferred Inflows of Resources</u>
Differences between expected and Actual experience	19,869	41,955
Changes in assumptions	12,324	15,853
Employer payments subsequent to The measurement date	<u>65</u>	<u>-</u>
Total	<u>32,258</u>	<u>57,808</u>

The amounts shown above for "Employer payments subsequent to the measurement date" will be recognized as a reduction to total OPEB liability in the following measurement period.

Amounts reported as deferred outflows of resources and deferred inflows of resources related to OPEB will be recognized in employee benefit expense as follows:

Year Ended June 30:

2026	\$ (5,626)
2027	(5,626)
2028	(5,393)
2029	(3,997)
2030	(1,477)
Thereafter	(3,496)

In the table shown above, positive amounts will increase employee benefit expense while negative amounts will decrease OPEB expense.

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2025

(10) Commitments and Contingencies

Litigation:

There are no pending lawsuits in which the City is involved that would be material to the financial statements.

Grants:

Amounts received from Grantor agencies are subject to audit and adjustment by Grantor agencies, principally the Federal government. Any disallowed claims including amounts already collected, could become a liability of the applicable fund.

(11) Interfund Transactions

Interfund receivables and payables at June 30, 2025 were as follows:

Receivables:

	General Fund	Solid Waste Fund	State Street Aid Fund	Utility Fund	Totals
<u>Payables:</u>					
General Fund	\$ -	-	8,125	180,531	188,656
Solid waste Fund	46,941	-	-	-	46,941
Utility Fund	-	34,506	-	-	34,506
Total	\$ <u>46,941</u>	<u>34,506</u>	<u>8,125</u>	<u>180,531</u>	<u>270,103</u>

The General Fund has a due from the Utility funds as the Utility fund for shared expenses. The other above balances between the Solid Waste Fund and State Street Aid Fund represent shared purchases made between these two funds. The City did not make its usual repayments before yearend. The City has reduced these balances significantly in the following fiscal year.

(12) Operating Transfers

<u>To</u>	<u>From</u>	<u>Amount</u>
Drug Fund	General Fund	\$14,308

The transfer from General Fund to Drug Fund was for operating capital.

REQUIRED
SUPPLEMENTARY
INFORMATION

CITY OF WESTMORELAND, TENNESSEE

Schedule of Required Supplementary Information

Schedule of Changes in Net Pension Liability (Asset) - Legacy and Related Ratios Based on Participation in the Public Employee Pension Plan of TCRS

Last Fiscal Year ending June 30

	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Total pension liability (asset)										
Service cost	\$ 39,875	\$ 40,108	\$ 37,044	\$ 47,853	\$ 41,686	\$ 41,934	\$ 31,670	\$ 37,339	\$ 30,891	\$ 33,137
Interest	\$ 90,546	\$ 92,582	\$ 93,714	\$ 102,171	\$ 107,942	\$ 116,439	\$ 115,609	\$ 136,184	\$ 154,734	\$ 157,982
Changes in benefit terms	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Differences between actual & expected experience	\$ (45,007)	\$ (55,301)	\$ 40,344	\$ 1,247	\$ 36,636	\$ (87,575)	\$ (32,906)	\$ 202,157	\$ (32,764)	\$ 106,116
Change of assumptions	\$ -	\$ -	\$ 39,473	\$ -	\$ -	\$ -	\$ 378,286	\$ -	\$ -	\$ -
Benefit payments, including refunds of employee contributions	\$ (57,024)	\$ (59,977)	\$ (58,470)	\$ (64,826)	\$ (66,188)	\$ (72,447)	\$ (71,515)	\$ (79,277)	\$ (109,544)	\$ (104,469)
Net change in total pension liability (asset)	\$ 28,390	\$ 17,412	\$ 152,105	\$ 86,445	\$ 120,076	\$ (1,649)	\$ 421,144	\$ 296,403	\$ 43,317	\$ 192,786
Total pension liability (asset)-beginning	\$ 1,195,913	\$ 1,224,303	\$ 1,241,715	\$ 1,393,820	\$ 1,480,265	\$ 1,600,341	\$ 1,598,692	\$ 2,019,836	\$ 2,316,239	\$ 2,359,556
Total pension liability (asset)-ending (a)	\$ 1,224,303	\$ 1,241,715	\$ 1,393,820	\$ 1,480,265	\$ 1,600,341	\$ 1,598,692	\$ 2,019,836	\$ 2,316,239	\$ 2,359,556	\$ 2,552,342
Plan fiduciary net position										
Contributions-employer	\$ 61,965	\$ 55,822	\$ 71,015	\$ 61,237	\$ 63,757	\$ 55,748	\$ 51,840	\$ 70,163	\$ 57,195	\$ 67,862
Contributions-employee	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Net investment income	\$ 37,550	\$ 33,387	\$ 146,454	\$ 119,470	\$ 115,748	\$ 82,319	\$ 444,445	\$ (82,326)	\$ 136,970	\$ 207,797
Benefit payments, including refunds of employee contributions	\$ (57,024)	\$ (59,977)	\$ (58,470)	\$ (64,826)	\$ (66,188)	\$ (72,447)	\$ (71,515)	\$ (79,277)	\$ (109,544)	\$ (104,469)
Administrative expense	\$ (822)	\$ (1,141)	\$ (1,667)	\$ (1,282)	\$ (1,204)	\$ (904)	\$ (905)	\$ (993)	\$ (1,477)	\$ (1,721)
Other	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Net change in plan fiduciary net position	\$ 41,669	\$ 28,091	\$ 157,332	\$ 114,599	\$ 112,113	\$ 64,716	\$ 423,865	\$ (92,433)	\$ 83,144	\$ 169,469
Plan fiduciary net position-beginning	\$ 1,214,632	\$ 1,256,301	\$ 1,284,392	\$ 1,441,724	\$ 1,556,323	\$ 1,668,436	\$ 1,733,152	\$ 2,157,017	\$ 2,064,584	\$ 2,147,728
Plan fiduciary net position-ending (b)	\$ 1,256,301	\$ 1,284,392	\$ 1,441,724	\$ 1,556,323	\$ 1,668,436	\$ 1,733,152	\$ 2,157,017	\$ 2,064,584	\$ 2,147,728	\$ 2,317,197
Net Pension Liability (asset)-ending (a) - (b)	\$ (31,998)	\$ (42,677)	\$ (47,904)	\$ (76,058)	\$ (68,095)	\$ (134,460)	\$ (137,181)	\$ 251,655	\$ 211,828	\$ 235,145
Plan fiduciary net position as a percentage of total pension liability	102.61%	103.44%	103.44%	105.14%	104.26%	108.41%	106.79%	89.14%	91.02%	90.79%
Covered payroll	\$ 534,178	\$ 481,225	\$ 611,668	\$ 501,945	\$ 522,597	\$ 411,124	\$ 382,299	\$ 482,884	\$ 393,634	\$ 422,814
Net pension liability (asset) as a percentage of covered payroll	-5.99%	-8.87%	-7.83%	-15.15%	-13.03%	-32.71%	-35.88%	52.12%	53.81%	55.61%

Changes of assumptions: In 2021, amounts reported as changes of assumptions resulted from changes to the inflation rate, investment rate of return, cost-of-living adjustment, and mortality improvements. In 2017, amounts reported as changes of assumptions resulted from changes to the inflation rate, investment rate of return, C25cost-of-living adjustment, salary growth and mortality improvements.

GASB 68 requires a 10-year schedule for this data to be presented starting with the implementation of GASB 68. The information in this schedule is not required to be presented retroactively prior to the implementation date. Please refer to previously supplied data from TCRS GASB website for prior years' data, if needed.

CITY OF WESTMORELAND, TENNESSEE

**Schedule of Contributions Based on Participation in the
Public Employee Pension Plan of TCRS - Legacy**

For the Year Ended June 30, 2025

	<u>2016</u>	<u>2017</u>	<u>2018</u>	<u>2019</u>	<u>2020</u>	<u>2021</u>	<u>2022</u>	<u>2023</u>	<u>2024</u>	<u>2025</u>
Actuarially determined contribution	55,822	71,015	61,237	63,757	55,748	51,840	70,163	57,195	67,862	110,516
Contributions in relation to the actuarially determined contribution	<u>55,822</u>	<u>71,015</u>	<u>61,237</u>	<u>63,757</u>	<u>55,748</u>	<u>51,840</u>	<u>70,163</u>	<u>57,195</u>	<u>67,862</u>	<u>110,516</u>
Contribution deficiency (excess)	<u>\$0</u>	<u>\$0</u>	<u>\$0</u>	<u>\$0</u>	<u>\$0</u>	<u>\$0</u>	<u>\$0</u>	<u>\$0</u>	<u>\$0</u>	<u>\$0</u>
Covered-employee payroll	<u>481,225</u>	<u>611,668</u>	<u>501,945</u>	<u>522,397</u>	<u>411,124</u>	<u>382,299</u>	<u>482,884</u>	<u>393,634</u>	<u>422,814</u>	<u>386,184</u>
Contributions as a percentage covered-employee payroll	11.60%	11.61%	12.20%	12.20%	13.56%	-35.88%	14.53%	14.53%	16.05%	16.05%

GASB 68 requires 10-year schedule for this data to be presented starting with the implementation of GASB 68. The information in this schedule is not required to be presented retroactively prior to the implementation date. Please refer to previously supplied data from the TCRS GASB website for prior years' data, in needed.

Notes to Schedule

Valuation date: Actuarially determined contribution rates for fiscal year 2025 were calculated based on the June 30, 2023 actuarial valuation.

Methods and assumptions used to determine contribution rates:

Actuarial cost method	Entry Age Normal
Amortization method	Level dollar, closed (not to exceed 20 years)
Remaining amortization period	Varies by Year
Asset valuation	10-year smoothed within a 20 percent corridor to market value
Inflation	2.25 percent
Salary increases	Graded salary ranges from 8.72 to 3.44 percent based on age, including inflation, averaging 4.00 percent
Investment Rate of Return	6.75 percent, net of investment expense, including inflation
Retirement age	Pattern of retirement determined by experience study
Mortality	Customized table based on actual experience including an adjustment for some anticipated improvement
Cost of Living Adjustments	2.125 percent

Changes of assumptions: In 2021, the following assumptions were changed: decreased inflation rate from 2.50 percent to 2.25 percent; decreased the investment rate of return from 7.25 percent to 6.75 percent; decreased the cost-of-living adjustment from 2.25 percent to 2.125 percent; and modified mortality assumptions. In 2017, the following assumptions were changed: decreased inflation rate from 3.00 percent to 2.50 percent; decreased the investment rate of return from 7.50 percent to 7.25 percent; decreased the cost-of-living adjustment from 2.50 percent to 2.25 percent; decreased salary growth graded ranges from an average of 4.25 percent to an average of 4.00 percent; and modified mortality assumptions.

CITY OF WESTMORELAND, TENNESSEE

Schedule of Required Supplementary Information

**Schedule of Changes in Net Pension Liability (Asset) - Hybrid and Related
Ratios Based on Participation in the Public Employee Pension Plan of TCRS**

Last Fiscal Year ending June 30

	<u>2024</u>
Total pension liability (asset)	
Service cost	\$ 44,889
Interest	\$ 9,434
Changes in benefit terms	\$ -
Differences between actual & expected experience	\$ (50,364)
Change of assumptions	\$ -
Benefit payments, including refunds of employee contributions	\$ -
Net change in total pension liability (asset)	\$ 3,959
Total pension liability (asset)-beginning	\$ 94,868
Total pension liability (asset)-ending (a)	<u>\$ 98,827</u>
 Plan fiduciary net position	
Contributions-employer	\$ 38,967
Contributions-employee	\$ -
Net investment income	\$ 9,908
Benefit payments, including refunds of employee contributions	\$ -
Administrative expense	\$ (729)
Other	\$ -
Net change in plan fiduciary net position	\$ 48,146
 Plan fiduciary net position-beginning	\$ 82,384
Plan fiduciary net position-ending (b)	<u>\$ 130,530</u>
 Net Pension Liability (asset)-ending (a) - (b)	<u>\$ (31,703)</u>
 Plan fiduciary net position as a percentage of total pension liability	132.08%
 Covered payroll	\$ 617,539
 Net pension liability (asset) as a percentage of covered payroll	-5.13%

Changes of assumptions. In 2021, amounts reported as changes of assumptions resulted from changes to the inflation rate, investment rate of return, cost-of-living adjustment, and mortality improvements. In 2017, amounts reported as changes of assumptions resulted from changes to the inflation rate, investment rate of return, C25cost-of-living adjustment, salary growth and mortality improvements.

GASB 68 requires a 10-year schedule for this data to be presented starting with the implementation of GASB 68. The information in this schedule is not required to be presented retroactively prior to the implementation date. Please refer to previously supplied data from TCRS GASB website for prior years' data, if needed.

CITY OF WESTMORELAND, TENNESSEE

**Schedule of Contributions Based on Participation in the
Public Employee Pension Plan of TCRS - Hybrid**

For the Year Ended June 30, 2025

	<u>2024</u>	<u>2025</u>
Actuarially determined contribution	38,967	0
Contributions in relation to the actuarially determined contribution	<u>38,967</u>	<u>0</u>
Contribution deficiency (excess)	<u>\$0</u>	<u>\$0</u>
Covered-employee payroll	<u>617,539</u>	<u>711,859</u>
Contributions as a percentage covered-employee payroll	6.31%	16.05%

GASB 68 requires 10-year schedule for this data to be presented starting with the implementation of GASB 68. The information in this schedule is not required to be presented retroactively prior to the implementation date. Please refer to previously supplied data from the TCRS GASB website for prior years' data, in needed.

Notes to Schedule

Valuation date: Actuarially determined contribution rates for fiscal year 2025 were calculated based on the June 30, 2023 actuarial valuation.

Methods and assumptions used to determine contribution rates:

Actuarial cost method	Entry Age Normal
Amortization method	Level dollar, closed (not to exceed 20 years)
Remaining amortization period	Varies by Year
Asset valuation	10-year smoothed within a 20 percent corridor to market value
Inflation	2.25 percent
Salary increases	Graded salary ranges from 8.72 to 3.44 percent based on age, including inflation, averaging 4.00 percent.
Investment Rate of Return	6.75 percent, net of investment expense, including inflation
Retirement age	Pattern of retirement determined by experience study
Mortality	Customized table based on actual experience including an adjustment for some anticipated improvement
Cost of Living Adjustments	2.125 percent

Changes of assumptions. In 2021, the following assumptions were changed: decreased inflation rate from 2.50 percent to 2.25 percent; decreased the investment rate of return from 7.25 percent to 6.75 percent; decreased the cost-of-living adjustment from 2.25 percent to 2.125 percent; and modified mortality assumptions. In 2017, the following assumptions were changed: decreased inflation rate from 3.00 percent to 2.50 percent; decreased the investment rate of return from 7.50 percent to 7.25 percent; decreased the cost-of-living adjustment from 2.50 percent to 2.25 percent; decreased salary growth graded ranges from an average of 4.25 percent to an average of 4.00 percent; and modified mortality assumptions.

CITY OF WESTMORELAND, TENNESSEE

Schedule of Required Supplementary Information - OPEB

Schedule of Changes in Total OPEB Liability and Related Ratios

Measurement Year ending June 30

	2018	2019	2020	2021	2022	2023	2024	2025
Total OPEB Liability								
Service Cost	\$ 6,204	\$ 5,511	\$ 5,358	\$ 5,606	\$ 5,043	\$ 4,816	\$ 3,260	\$ 7,050
Interest on the Total OPEB Liability	\$ 1,411	\$ 1,856	\$ 1,572	\$ 1,370	\$ 795	\$ 775	\$ 1,792	\$ 1,240
Change in Benefit Terms	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Difference between expected and actual experience of the Total OPEB Liability	\$ -	\$ (18,899)	\$ (12,933)	\$ (11,372)	\$ 3,684	\$ 28,185	\$ (31,306)	\$ (1,680)
Changes in assumptions and other inputs	\$ (2,996)	\$ 3,151	\$ 1,556	\$ 2,098	\$ (9,200)	\$ (16,076)	\$ 7,213	\$ 4,643
Benefit payments	\$ -	\$ (211)	\$ (177)	\$ (175)	\$ (207)	\$ (173)	\$ (2,709)	\$ (16)
Net change in Total OPEB Liability	\$ 4,619	\$ (8,592)	\$ (4,624)	\$ (2,473)	\$ 115	\$ 17,527	\$ (21,750)	\$ 11,237
Total OPEB Liability - Beginning	\$ 42,120	\$ 46,739	\$ 38,147	\$ 33,523	\$ 31,050	\$ 31,165	\$ 48,692	\$ 26,942
Total OPEB Liability - Ending	\$ 46,739	\$ 38,147	\$ 33,523	\$ 31,050	\$ 31,165	\$ 48,692	\$ 26,942	\$ 38,179
 Estimated Covered - Employee Payroll	 N/A	 N/A	 \$522,597	 \$411,124	 \$382,299	 \$375,026	 \$354,975	 \$386,184
 Total OPEB Liability as a Percentage of Covered - Employee Payroll	 N/A	 N/A	 6.41%	 7.55%	 8.15%	 12.98%	 7.59%	 9.89%

Notes to Schedule

Note: There are no assets accumulating, in a trust that meets the criteria in paragraph 4 of GASB Statement No. 75, related to this OPEB plan.

The amounts reported for each fiscal year were determined as of the prior fiscal year-end. The amounts reported for each fiscal year were determined as of the prior fiscal year-end.

This schedule is intended to display ten years of information. Additional years will be displayed as they become available.

SUPPLEMENTAL INFORMATION

CITY OF WESTMORELAND, TENNESSEE

Capital Assets Used in the Operation of the Governmental Funds

Schedule of Changes in Capital Assets - by Type

June 30, 2025

<u>Description</u>	<u>Balance July 1, 2024</u>	<u>Additions</u>	<u>Disposals</u>	<u>Balance June 30, 2025</u>
Land	\$152,806	0	0	152,806
Improvements	583,017	0	0	583,017
Infrastructure	1,759,613	0	0	1,759,613
Buildings	1,028,814	0	0	1,028,814
Equipment	2,380,110	399,524	0	2,779,634
Total Capital Assets	<u>\$5,904,360</u>	<u>399,524</u>	<u>0</u>	<u>6,303,884</u>

CITY OF WESTMORELAND, TENNESSEE

Capital Assets Used in the Operation of the Governmental Funds

Schedule of Capital Assets - by Function and Activity

June 30, 2025

<u>Description</u>	<u>Land</u>	<u>Infrastructure and Improvements</u>	<u>Buildings</u>	<u>Equipment</u>	<u>Total</u>
General government	\$152,806	330,656	677,890	81,042	1,242,394
Parks	\$0	252,361	0	75,984	328,345
Police	0	0	80,000	452,239	532,239
Fire	0	0	253,674	1,485,630	1,739,304
Streets	0	1,759,613	0	190,577	1,950,190
Garbage	0	0	17,250	494,162	511,412
Total Capital Assets	<u>\$152,806</u>	<u>2,342,630</u>	<u>1,028,814</u>	<u>2,779,634</u>	<u>6,303,884</u>

CITY OF WESTMORELAND, TENNESSEE

Schedule of Cash and Cash Equivalents and Certificate of Deposits
All Funds

June 30, 2025

	Carrying Value
General Fund:	
Demand deposits	\$1,094,835
Total General Fund	<u>1,094,835</u>
 State Street Aid Fund - Demand deposits	 <u>22,150</u>
 Solid Waste Fund - Demand deposits	 44,047
Solid Waste Fund - Certificate of deposit	<u>26,058</u>
	<u>70,105</u>
 Drug Fund - Demand deposits	 <u>26,491</u>
 Total Special Revenue Funds	 <u>118,746</u>
Enterprise Fund:	
Demand deposits	1,797,479
Certificate of deposit	<u>144,098</u>
Total Water and Sewer Fund	<u>1,941,577</u>
 Total Cash and Cash Equivalents - All Funds	 <u>\$3,155,158</u>

CITY OF WESTMORELAND, TENNESSEE

Schedule of Changes in Property Taxes Receivable

For the Year Ended June 30, 2025

<u>Tax Year</u>	<u>Balance July 1, 2024</u>	<u>Levy</u>	<u>Collections and Changes in Assessment</u>	<u>Balance June 30, 2025</u>
2025	\$ -	733,000	0	733,000
2024	693,477	(1,874)	672,511	19,092
2023	20,060	0	9,542	10,518
2022	7,505	0	3,658	3,847
2021	33,351	0	1,990	31,361
2020	15,540	0	2,096	13,444
2019	5,085	0	1,423	3,662
2018	4,023	0	369	3,654
2017	4,558	0	369	4,189
2016	2,486	0	369	2,117
2015	788	0	788	0
2014	1,126	0	1,126	0
	<u>\$787,999</u>	<u>731,126</u>	<u>694,241</u>	<u>824,884</u>

<u>Tax Year</u>	<u>Tax Rate</u>	<u>Tax Levy</u>	<u>Tax Adjustments and Collections</u>	<u>Outstanding Taxes</u>
2025	\$ 1.13 \$	733,000 \$	0 \$	733,000
2024	1.13	691,603	672,511	19,092
2023	1.13	524,184	513,666	10,518
2022	1.13	499,789	495,942	3,847
2021	1.13	486,244	454,883	31,361
2020	1.13	504,614	491,170	13,444
2019	1.13	501,349	497,687	3,662
2018	1.40	507,110	503,456	3,654
2017	1.40	504,020	499,831	4,189
2016	1.40	506,052	503,935	2,117
2015	1.40	504,403	504,403	0
2014	1.40	500,271	500,271	0

All delinquent taxes except 2024 have been turned over to the County for collection.

CITY OF WESTMORELAND, TENNESSEE

**Schedule of Debt Service Requirements-
Sewer Department**

June 30, 2025

Year	BONDS SERIES - 1997B		STATE LOAN SRF 2021-458		STATE LOAN CW9 2023-335		TOTAL	TOTAL
	Principal	Interest	Principal	Interest	Principal	Interest	Principal	Interest
2026	\$ 10,166	862	189,216	23,424	34,056	22,548	233,438	46,834
2027	10,858	621	190,452	22,188	34,968	21,636	236,278	44,445
2028	11,597	399	191,688	20,952	35,916	20,688	239,201	42,039
2029	14,080	198	192,948	19,692	36,876	19,728	243,904	39,618
2030	14,784	101	195,468	18,444	37,872	18,732	248,124	37,277
2031	24,884	45	196,740	17,172	38,892	17,712	260,516	34,929
2032			198,024	15,900	39,936	16,668	237,960	32,568
2033			199,308	14,616	41,016	15,588	240,324	30,204
2034			200,616	13,332	42,120	14,484	242,736	27,816
2035			201,924	12,024	43,260	13,344	245,184	25,368
2036			203,244	10,716	44,424	12,180	247,668	22,896
2037			204,564	9,396	45,612	10,992	250,176	20,388
2038			205,896	8,076	46,848	9,756	252,744	17,832
2039			207,240	6,744	48,108	8,496	255,348	15,240
2040			208,596	5,400	49,404	7,200	258,000	12,600
2041			209,952	4,044	50,736	5,868	260,688	9,912
2042			211,320	2,688	52,092	4,512	263,412	7,200
2043			282,590	1,466	53,496	3,108	336,086	4,574
2044					54,936	1,668	54,936	1,668
2045					32,663	956	32,663	956
	\$ 86,369	2,226	3,689,786	226,274	863,231	245,864	4,639,386	474,364

Additionally, the Sewer Department has an interim loan, CW8-21-457 of \$1,724,165.

CITY OF WESTMORELAND, TENNESSEE

**Schedule of Debt Service Requirements-
Water Department**

June 30, 2025

Year	Water Meter Loan		BONDS SERIES - 2009		BONDS SERIES - 1996		BONDS SERIES - 1997A		BONDS SERIES - 2019		TOTALS	TOTALS
	Principal	Interest	Principal	Interest	Principal	Interest	Principal	Interest	Principal	Interest	Principal	Interest
2026	\$ 50,763	29,158	11,090	17,866	25,004	450	6,055	907	12,460	12,272	105,372	60,653
2027	53,744	26,177	11,578	17,378	32,774	175	6,479	708	12,741	11,991	117,316	56,429
2028	57,543	22,378	12,087	16,869	39,572	89	6,932	505	13,027	11,705	129,161	51,546
2029	61,539	18,382	12,619	16,337	41,985	31	7,417	395	13,320	11,412	136,880	46,557
2030	65,535	14,386	13,174	15,782	22,373	27	7,937	299	13,620	11,112	122,639	41,606
2031	68,732	11,189	13,754	15,202			8,492	197	13,927	10,805	104,905	37,393
2032	71,929	7,992	14,359	14,597			5,256	48	14,240	10,492	105,784	33,129
2033	75,681	4,241	14,991	13,965			6,715	20	14,560	10,172	111,947	28,398
2034	55,576	5,931	15,651	13,305					14,888	9,844	86,115	29,080
2035			16,339	12,617					15,223	9,509	31,562	22,126
2036			17,058	11,898					15,565	9,167	32,623	21,065
2037			17,809	11,147					15,916	8,816	33,725	19,963
2038			18,592	10,364					16,274	8,458	34,866	18,822
2039			19,410	9,546					16,640	8,092	36,050	17,638
2040			20,264	8,692					17,014	7,718	37,278	16,410
2041			21,156	7,800					17,397	7,335	38,553	15,135
2042			22,087	6,869					17,788	6,944	39,875	13,813
2043			23,059	5,897					18,189	6,543	41,248	12,440
2044			24,073	4,883					18,598	6,134	42,671	11,017
2045			25,133	3,823					19,016	5,716	44,149	9,539
2046			26,238	2,718					19,444	5,288	45,682	8,006
2047			27,393	1,563					19,882	4,850	47,275	6,413
2048			7,983	421					20,329	4,403	28,312	4,824
2049									20,787	3,945	20,787	3,945
2050									21,254	3,478	21,254	3,478
2051									21,732	3,000	21,732	3,000
2052									22,221	2,511	22,221	2,511
2053									22,721	2,011	22,721	2,011
2054									23,233	1,499	23,233	1,499
2055									23,755	977	23,755	977
2056									24,570	162	24,570	162
\$	561,042	139,834	405,897	239,539	161,708	772	55,283	3,079	550,331	216,361	1,734,261	599,585

CITY OF WESTMORELAND, TENNESSEE

Schedule of Debt Service Requirements-
General Long-Term Debt

June 30, 2025

Year	BUILDING IMPROVEMENTS LOAN PAYABLE		PARK PAVING LOAN		SANITATION TRUCK NOTE PAYABLE		TOTAL	
	Principal	Interest	Principal	Interest	Principal	Interest	Principal	Interest
2026	\$ 954	1,338	12,662	489	47,610	9,792	61,226	11,619
2027	983	1,309	3,428	110	49,889	7,513	54,300	8,932
2028	1,013	1,279			52,279	5,125	53,292	6,404
2029	1,043	1,249			54,778	2,622	55,821	3,871
2030	1,074	1,218					1,074	1,218
2031	1,106	1,186					1,106	1,186
2032	1,140	1,152					1,140	1,152
2033	1,174	1,118					1,174	1,118
2034	1,209	1,083					1,209	1,083
2035	1,245	1,047					1,245	1,047
2036	1,283	1,009					1,283	1,009
2037	1,321	971					1,321	971
2038	1,361	931					1,361	931
2039	1,402	890					1,402	890
2040	1,444	848					1,444	848
2041	1,487	805					1,487	805
2042	1,532	760					1,532	760
2043	1,577	715					1,577	715
2044	1,625	667					1,625	667
2045	1,674	618					1,674	618
2046	1,724	568					1,724	568
2047	1,775	517					1,775	517
2048	1,829	463					1,829	463
2049	1,884	408					1,884	408
2050	1,940	352					1,940	352
2051	1,998	294					1,998	294
2052	2,058	234					2,058	234
2053	2,043	81					2,043	81
2054	1,157	31					1,157	31
	\$ 42,055	23,141	16,090	599	204,556	25,052	262,701	48,792

TOWN OF WESTMORELAND, TENNESSEE

Schedule of Changes in Long-term Debt by Individual Issue

June 30, 2025

	Original Amount of Issue	Interest Rate	Date of Issue	Last Maturity Date	Outstanding 7/1/2024	Issued During Period	Paid and/or Matured During Period	Refunded During Period	Outstanding 6/30/2025
Governmental Activities									
Note payable - Park paving	\$ 82,200	3.00%	2019	9/21/2027	\$ 28,498	\$ -	\$ 12,408	\$ -	\$ 16,090
Note payable - police car	41,909	8.84%	2023	6/30/2025	\$ 15,017	\$ -	\$ 15,017	\$ -	\$ -
Note payable - Sanitation truck	334,560	4.79%	2022	6/30/2029	\$ 249,991	\$ -	\$ 45,435	\$ -	\$ 204,556
Loan payable - building renovation	100,000	3.13%	2014	5/1/2054	\$ 43,048	\$ -	\$ 993	\$ -	\$ 42,055
Total Long-term Debt Payable					\$ 336,554	\$ -	\$ 73,853	\$ -	\$ 262,701
Business-type Activities - Water									
Revenue bonds - 2009	535,000	4.38%	2009	9/30/2047	\$ 417,127	\$ -	\$ 11,230	\$ -	\$ 405,897
Revenue bonds - 1996	350,000	4.88%	1996	3/14/2028	\$ 162,616	\$ -	\$ 908	\$ -	\$ 161,708
Revenue bonds - 2017	650,000	2.25%	2017	3/20/2055	\$ 562,541	\$ -	\$ 12,210	\$ -	\$ 550,331
Water Meter Loan	607,412	3.50%	2024	5/20/2034	\$ 607,412	\$ -	\$ 46,370	\$ -	\$ 561,042
Revenue bonds - 1997a	120,000	4.88%	1997	1/6/2032	\$ 58,105	\$ -	\$ 2,822	\$ -	\$ 55,283
Total Loans Payable					\$ 1,807,801	\$ -	\$ 73,540	\$ -	\$ 1,734,261
Business-type Activities - Sewer									
CW8-21-457	2,500,000	0.65%	2021	unknown	\$ 1,819,373	\$ -	\$ 95,208	\$ -	\$ 1,724,165
SRF-21-458	3,987,000	0.65%	2021	11/30/2043	\$ 3,877,898	\$ -	\$ 188,112	\$ -	\$ 3,689,786
CW9-23-335	1,173,246	2.66%	2022	12/31/2044	\$ 310,015	\$ 567,139	\$ 13,923	\$ -	\$ 863,231
Revenue bonds - 1997b	220,000	4.88%	1997	4/8/2030	\$ 88,457	\$ -	\$ 2,088	\$ -	\$ 86,369
Total Loans Payable					\$ 6,095,743	\$ 567,139	\$ 299,331	\$ -	\$ 6,363,551

CITY OF WESTMORELAND, TENNESSEE

Schedule of Utility Rates and Customers

June 30, 2025

Town Rates:

<u>Water and Sewer Rates</u>	<u>Water</u>				<u>Sewer</u>	
	<u>Residential Inside</u>	<u>Commercial Inside</u>	<u>Residential Outside</u>	<u>Commercial Outside</u>	<u>Residential Inside</u>	<u>Commercial Inside</u>
Minimum charge (2,000 gallons)	33.76	43.89	50.64	60.77	40.52	52.66
2,001 - 5,000 gallons	8.55	14.21	12.84	17.90	10.27	21.49
5,001 - 10,000 gallons	8.36	12.77	12.64	15.80	10.03	18.96

There were approximately 1,435 water customers and approximately 960 sewer customers at yearend.

CITY OF WESTMORELAND, TENNESSEE
Schedule of Federal and State Financial Assistance
For the Year Ended June 30, 2025

Assistance Listing Number	State Grant Number	Program Name	Grantor Agency	Receivable (Deferred) Balance July 1, 2024	Grant Receipts	Other Receipts	Grant Expenditures	Receivable (Deferred) Balance June 30, 2025
State Program:								
N/A	N/A	Security Grant	Tennessee Department of Safety and Homeland Security	0	26,000	0	26,000	0
N/A	N/A	Fire Safety Equipment	Tennessee Department of Safety and Homeland Security	0	20,714	0	20,714	0
N/A	Z25THS385	Highway Safety	Tennessee Department of Safety and Homeland Security	0	27,290	0	27,290	0
N/A	N/A	VCIF - Public Safety	Tennessee Department of Finance and Administration	0	46,635	0	46,635	0
		Total State		0	120,639	0	120,639	0
Federal Programs:								
21.027	N/A	American Rescue Plan Act	US Department of Treasury thru the State of Tennessee	(433,879)	0	0	433,879	0
14.288	N/A	CDBG	US Department of HUD thru the State of Tennessee	0	242,000	0	242,000	0
66.458	N/A	Clean Water State Revolving Fund Loan proceeds	U. S. Department of EPA thru the Tennessee Department of Environment and Conservation	0	567,139	0	567,139	0
66.458	N/A	Clean Water State Revolving Fund Loan forgiveness	U. S. Department of EPA thru the Tennessee Department of Environment and Conservation	0	141,785	0	141,785	0
		Total 66.458		0	708,924	0	708,924	0
		Total Federal		(433,879)	950,924	0	1,384,803	0
		Total State and Federal		(433,879)	1,071,563	0	1,505,442	0

This schedule prepared on the accrual basis of accounting.

CITY OF WESTMORELAND, TENNESSEE

Schedule of Expenditures of Federal Awards

June 30, 2025

<u>Program Name</u>	<u>Assistance Listing Number</u>	<u>Expenditures</u>
Clean Water State Revolving Fund Loan proceeds	66.458	\$ <u>567,139</u>
Clean Water State Revolving Fund Loan forgiveness	66.458	\$ <u>141,785</u>
American Rescue Plan Act	21.027	\$ <u>433,879</u>
CDBG	14.288	\$ <u>242,000</u>
	Total	\$ <u><u>1,384,803</u></u>

1. This schedule is prepared on the accrual basis of accounting.

2. The City did not elect to use the 10% de minimis cost rate.

3. The City has \$5,413,951 in outstanding loan balances to the Clean Water Revolving Fund.

COMPLIANCE AND INTERNAL CONTROL

INDEPENDENT AUDITOR'S REPORT ON
INTERNAL CONTROL OVER FINANCIAL REPORTING AND ON COMPLIANCE
AND OTHER MATTERS BASED ON AN AUDIT OF FINANCIAL STATEMENTS
PERFORMED IN ACCORDANCE WITH GOVERNMENT AUDITING STANDARDS

Mayor and City Council
City of Westmoreland, Tennessee
Westmoreland, Tennessee

I have audited in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business type activities and each major fund, the discretely presented component unit of the City of Westmoreland as of and for the year ended June 30, 2025, and the related notes to the financial statements, which collectively comprise the City of Westmoreland's basic financial statements as listed in the table of contents, and have issued a report thereon dated December 20, 2025.

Report on Internal Control Over Financial Reporting

In planning and performing my audit of the financial statements, I considered the City of Westmoreland's internal control over financial reporting (internal control) as a basis for designing the audit procedures that are appropriate in the circumstances for the purpose of expressing an opinion on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the City of Westmoreland's internal control. Accordingly, I do not express an opinion on the effectiveness of the City of Westmoreland's internal control.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent or detect and correct misstatements on a timely basis. A material weakness is a deficiency, or combination of deficiencies, in internal control such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected on a timely basis. A significant deficiency is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

My consideration of the internal control was for the limited purpose described in the preceding paragraph and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies and therefore, material weaknesses or significant deficiencies may exist that were not identified. I did identify certain deficiencies in internal control, described in the accompanying Schedule of Findings and Responses as items 2025-001 and 2025-002, that I consider to be material weaknesses.

Report on Compliance and Other Matters

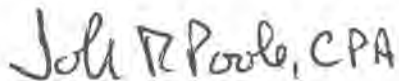
As part of obtaining reasonable assurance about whether the City of Westmoreland's financial statements are free of material misstatement, I performed tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, noncompliance with which could have a direct and material effect on the determination of the financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of the audit and, accordingly, I do not express such an opinion. The results of the tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

City of Westmoreland's Response to Findings

Government Auditing Standards requires the auditor to perform limited procedures on the City of Westmoreland's response to the finding identified in my audit and described in the accompanying Schedule of Findings and Responses. The City of Westmoreland's response was not subjected to the auditing procedures applied in the audit of the financial statements and, accordingly, I express no opinion on the response.

Purpose of This Report

The purpose of this report is solely to describe the scope of the testing of internal control and compliance and the result of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

John R. Poole, CPA

December 20, 2025

**INDEPENDENT AUDITOR'S REPORT ON COMPLIANCE FOR EACH MAJOR
PROGRAM AND ON INTERNAL CONTROL OVER COMPLIANCE REQUIRED BY
THE UNIFORM GUIDANCE**

Mayor and Council Members
City of Westmoreland, Tennessee
Westmoreland, Tennessee

Report on Compliance for Each Major Federal Program

Opinion on Each Major Federal Program

I have audited the City of Westmoreland's compliance with the types of compliance requirements identified as subject to audit in the *U.S. Office of Management and Budget (OMB) Compliance Supplement* that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2025. The City's major federal programs are identified in the summary of the auditor's results section of the accompanying Schedule of Findings and Questioned Costs.

In my opinion, the City of Westmoreland complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2025.

Basis for Opinion on Each Major Federal Program

I conducted my audit of compliance in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in the Government Auditing Standards, issued by the Comptroller General of the United States and the audit requirements of Title 2 US Code of Federal Regulation Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards (Uniform Guidance). My responsibilities under those standards and the Uniform Guidance are further described in the Auditor's Responsibilities for the Audit of the Compliance section of my report.

I am required to be independent of the City of Westmoreland and to meet my other ethical responsibilities, in accordance with the relevant ethical requirements relating to my audit. I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my audit opinion on compliance for each major programs. Our audit does not provide a legal determination of the City of Westmoreland's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules, and provisions of contracts or grants agreements applicable to the City of Westmoreland's federal programs.

Auditor's Responsibilities for the Audit of Compliance

My objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and to express an opinion of City of Westmoreland's compliance based on the audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with generally accepted auditing standards, Government Auditing Standards and the Uniform Guidance will always detect material noncompliance when it exists. The risk of not detecting material noncompliance resulting from fraud is higher than for that resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgement made by a reasonable user of the report on compliance about City of Westmoreland's compliance with the requirements of each major federal program as a whole.

In performing an audit in accordance with generally accepted auditing standards and Government Auditing Standards and the Uniform Guidance, I:

- ❖ Exercise professional judgment and maintain professional skepticism throughout the audit.
- ❖ Identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the City of Westmoreland's compliance with the compliance requirements referred to above and performing such other procedures as I considered necessary in the circumstances.
- ❖ Obtain an understanding of the City of Westmoreland's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances, and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of the City of Westmoreland's internal control over compliance. Accordingly, no such opinion is expressed.

I am required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control-over compliance that I identified during the audit.

Report on Internal Control Over Compliance

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent or detect and correct noncompliance with the types of compliance requirements of a federal program on a timely basis. A material weakness in internal control over compliance is a deficiency, or combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. A significant deficiency in internal control over compliance is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

My consideration of the internal control over compliance was for the limited purpose described in the Auditor's Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance. Given these limitations, during the audit I did not identify any deficiencies in internal control over compliance that I consider to be material weaknesses, as defined above. However, material weaknesses or significant deficiencies in internal control over compliance may exist that have not been identified.

My audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

The purpose of this report on internal control over compliance is solely to describe the scope of the testing of internal control over compliance and the result of that testing based on the requirements of Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

John R Poole, CPA

December 20, 2025

CITY OF WESTMORELAND, TENNESSEE

Schedule of Findings and Questioned Costs

June 30, 2025

Section I - Summary of Auditor's Results

Financial Statements

The Auditor's Report on the Financial Statements was an unmodified opinion.

Internal control over financial reporting:

Material weakness identified ? Yes. 2025-001 Separation of Duties,
2025-002 Journal Entries

Significant deficiencies identified ? None reported

Noncompliance material to financial statements noted ? No.

Federal Awards

Internal control over major programs:

Material weakness identified ? No.

Significant deficiencies identified ? None reported

The auditor's report on compliance for major programs was unmodified.

There were no audit findings disclosed that are required to be reported in accordance with
2 CFR 200.516(a).

The Major Programs were:

Utility Improvements Assistance Listing Number 66.458

Type A programs have been distinguished as those programs with expenditures greater than \$750,000.

No programs met this threshold.

The City was not considered to be a low risk auditee.

Section II - Financial Statement Findings

There was two finding related to the financial statements which are required to be reported in accordance with
Government Auditing Standards. 2025-001 - Separation of Duties and 2025-002 - Journal Entries

Section III - Federal Award Findings and Questioned Costs

There were no findings related to Federal Awards.

CITY OF WESTMORELAND, TENNESSEE

Schedule of Findings and Responses

June 30, 2025

2025-001 - Separation of Duties

Condition: The City of Westmoreland currently has four employees that work in performing the majority of the accounting functions for the City. Due to only having four employees performing the accounting transactions there is currently an inadequate segregation of duties.

Criteria: Generally accepted accounting principles require that accounting functions be adequately segregated to ensure that the internal accounting controls are effective.

Cause: The City has a limited number of office employees to provide for a proper division of duties.

Effect: The risk of errors and irregularities occurring and not being detected in a timely manner along with the possibility of fraud or misappropriation of assets increases when accounting functions are not adequately segregated.

Recommendation: For adequate separation of duties, the employee who writes receipts, prepares and makes bank deposits, or writes checks should neither reconcile bank statements nor post to the cash receipts and disbursements journals.

Response: "We agree that the staff size will not allow the City to segregate duties to the optimum level desired. There are only four employees working in the department so it is virtually impossible to segregate duties unless more staff could be hired and due to the finances of our small City, we could not financially hire additional office help."

2025-002 - Journal Entries

Condition: Several year-end journal entries were needed to agree the general ledger to the supporting detail records.

Cause: The City does not have adequate staffing for this accounting to occur.

Criteria: Generally accepted accounting principles require that the general ledger agree to these detailed records.

Effect: The risk of errors and irregularities occurring and not being detected in a timely manner increases when such accounts do not agree to the general ledger.

Recommendation: The general ledger should be reconciled to the account details on at least a monthly basis.

Response: "We agree. We will work to reduce the journal entries needed at year end. The contact person for this activity is our CMFO."

CITY OF WESTMORELAND, TENNESSEE

Schedule of Disposition of Prior Year Comments

June 30, 2025

<u>Finding Number</u>	<u>Finding Title</u>	<u>Status</u>
2024 – 001	Separation of Duties	Repeated

The original finding number was 1997-002. The current year finding number is 2025-001.

2024 – 002	Journal Entries	Repeated
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The original finding number was 2017-002. The current year finding number is 2025-002.

2024 – 003	Expenditures in Excess of Appropriations in Government Funds	Corrected
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The original finding number was 2021-003.

City of Westmoreland

1001 Park Street • P.O. Box 8
Westmoreland, TN 37186

Phone: 615.644.3382
Fax: 615.644.3950

Management's Corrective Action Plan

Audit period: June 30, 2025

The findings from the June 30, 2025, *Schedule of Findings and Responses* are discussed below.

2025-001 Segregation of Duties (Internal Control)

Contact person: Meredith Kendall-Jenkins

Planned Corrective Action: It is not economically feasible at this time to hire a sufficient number of people to adequately separate the duties. The Board of Commissioners continues to monitor our finances and internal control.

Anticipated Completion Date: At the current time, due to our size, we do not believe we can fully segregate these duties. We will continue to improve and strengthen our internal controls, but we cannot give a definite date.

2025-002 - Journal Entries

Contact person: Meredith Kendall-Jenkins

Planned Corrective Action: We will work to reduce the journal entries needed at year end.

Anticipated Completion Date: June 30, 2026

Signature:

